L.L. Bean Catalog Project

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Analysis Summary

The analysis shows that there are three trends that fight against each other.

1. The catalog pulls customers to Womens Apparel, and to a lesser extent, to Mens Apparel. The catalog literally changes customer merchandise preference.
2. Your retail stores pull customers away from Apparel and instead pull customers toward more "outdoor centric" product groups. Your retail stores literally change customer merchandise preference.
3. The more loyal a customer becomes, the more inclined the customer becomes to buy Womens Apparel.

This tension, between customers, merchandise, channels, and advertising strategy, should (in my opinion) be the number one area of long-term focus for your Executive Team. I say this, of course, because I have several clients with retail stores and a catalog heritage. These teams are really struggling with the "right" business strategy. Some let retail call the shots, and form an omnichannel strategy around the retail merchandise assortment. These businesses tend to experience overall business health, but also experience a significant decline in catalog productivity. Other clients let each channel achieve optimal profit, independent of an overarching/integrated merchandise strategy across channels.

There isn't a right or wrong answer to this question, there are only consequences.

As you open more stores, you will only magnify the need to answer this question. Most of my retail-centric clients finally decide to align the catalog marketing program with the retail customer. The minute clients do this, they experience (catalog) productivity changes of anywhere between 10% and 70%. I experienced the 70% drop at Nordstrom, now ten years ago. Customer productivity was just fine, but catalog productivity plummeted, rendering the catalog marketing program useless. I have a retail client that is doing the same thing (shifting the assortment toward the retail customer, and then shifting the catalog merchandising assortment to the retail customer), and their catalog marketing program is in collapse (i.e. -20%), and their ability to acquire new customers has been fundamentally transformed. However, this client is fixing the retail channel in the process (via the shift in marketing strategy), so the shift in strategy exhibits simultaneous pros and cons.

The analysis clearly illustrated that your modeling and circulation planning teams do an exceptional job of making sure the customer receives the "optimal" number of annual

catalogs. The average $100,000,000 client generates $1,000,000 of incremental profit using my circulation optimization algorithm. This suggests that, if your team did an average job (i.e. the same level of performance as the average of my client base), your team would realize a $15,000,000 (ish) profit opportunity by using my selection algorithm. However, my analysis showed that your team would obtain a $1,500,000 profit opportunity by using my algorithm over your own processes. This means that your modeling and circulation planning teams are responsible for $13,500,000 of incremental annual profit, above-and-beyond what an "average" team of comparable individuals would deliver. You probably already understand just how valuable your team is – this analysis should confirm that fact for you. Go offer each of those individuals a 20% performance bonus, given their exceptional performance.

Believe it or not, the analysis strongly suggested that you are under-mailing the top-half of your customer base. Maybe you have mail/holdout tests that confirm you should not over-mail the top-half of your customer base (my work strongly suggests that you accurately use mail/holdout results to estimate the incremental value of your phone/online/retail purchases). Because you have such a phone-centric level of demand in your direct channel (many clients are < 10% mail/phone), your catalogs have more "power" than they do for most clients. I have many clients that are able to send 25-30 catalogs per year to best customers. You clearly have this many catalogs available, but you selectively decide which of those catalogs to mail. Mens/Womens Apparel customers who have phone purchase history are the customers most likely to enjoy an increased diet of mailings. My analysis suggests a multi-million dollar annual profit opportunity that is at least worth testing.

In my optimization algorithm, I assumed that 85% of mail/phone transactions are driven by the catalog, 50% of online transactions are driven by the catalog, and 10% of retail transactions are driven by the catalog. My analysis suggested that you do not account for email transactions (which are often much closer to 0% driven by the catalog) and you do not account for site visits in your modeling strategy. Most of my larger clients reduce catalogs to customers who purchase because of email marketing – they do this because their mail/holdout test results support a reduction.

Among lapsed buyers, you have an opportunity to use your web analytics visitation data to deliver hotline-triggered catalogs. Any customer who visits your website, has not purchased in at least twelve months, and has not received a catalog in at least six weeks deserves to be mailed a hotline catalog.

I created a rudimentary "GPA" or "Grade Point Average" to estimate the catalog strength of any customer in your database. Please consider adopting a metric similar to or equal to this metric, and update the metric on a weekly basis. If, as you open stores, you notice that the "GPA" for catalog customer strength declines, you will have an "alert" that tells you ahead of time that your customer base is evolving/changing.

Interestingly, the retail stores you opened in the 2012 +/- timeframe do not negatively impact your phone/online channels. However, demand in other retail stores suffers. Undoubtedly, you have a real estate analytics team that factors retail cannibalization into new store sales estimates – running profit and loss statements on incremental demand post-cannibalization. Make sure they are comparing prior retail store openings across phone / mail / retail channels, so that their projections are accurate.

I did run some of my "diagnostics" programming against your direct channel customer database. Your customers are exhibiting largely flat productivity in the past year, productivity that is increasingly bought for via promotions. The diagnostics suggested that comp segment productivity is coming from new items, while existing items are exhibiting productivity declines. Because you obtain so little short-term benefit from ramped-up customer acquisition activities, your growth must come from merchandise productivity. New items seem to directly align with increases in merchandise productivity. Please keep this in mind when merchandising your catalog, email campaigns, and key landing pages.

But the primary story of L.L. Bean is the growing disconnect between the merchandise assortment enjoyed by retail customers, and the merchandise assortment that catalog mailings stimulate. With future growth likely to come from retail stores, catalogs with the current merchandise assortment will be favored by catalog customers (Womens Apparel), will drive different merchandise (vs. stores) and will generate different customers than the customers driven by retail marketing and online marketing. It is my opinion that you will need to pioneer your own "omnichannel" strategy, and not listen to the advice of those who do not understand evolving customer behavior and channel differences. There is not a right or wrong answer to what you do, there are only consequences.

Mailing Decisions Based On Channel / Merchandise Group

In order to understand how your analytics team assigns value to various customers, I created a reasonably simple model. The "dependent variable" that I was trying to predict was ad dollars spent, annually, on an individual customer. The "independent variables" were weighted demand values for customers with at least one purchase in the past year … using four years of weighted purchase history.

- Recency = 01 Month … Weight = 1.000 * Demand.
- Recency = 02 – 03 Months … Weight = 0.769 * Demand.
- Recency = 04 – 06 Months … Weight = 0.746 * Demand.
- Recency = 07 – 12 Months … Weight = 0.592 * Demand.
- Recency = 13 – 18 Months … Weight = 0.455 * Demand.
- Recency = 19 – 24 Months … Weight = 0.350 * Demand.
- Recency = 25 – 36 Months … Weight = 0.289 * Demand.
- Recency = 37 – 48 Months … Weight = 0.240 * Demand.

The weights came from a regression model I ran against your customer file … historical purchases are less important as time goes by (as you already know). I use the weights so that I can properly assess a Home purchase from three years ago (every dollar is worth about twenty-nine cents) against a Womens Apparel purchase from three months ago (every dollar is worth about seventy-seven cents).

This was the equation (if you don't like math, just move past the table, and I'll get to the point).

			Per $100 Weighted Dollars		
			Phone	Online	Retail
Womens	Womens Accessories		($0.70)	($0.30)	($0.40)
Womens	Womens Apparel		$1.00	$0.80	$0.90
Womens	Womens Footwear		$1.20	$0.70	$0.20
Womens	Womens Outerwear		$0.70	$0.60	$0.50
Mens	Mens Accessories		$0.60	$0.50	$0.40
Mens	Mens Apparel		$1.50	$1.20	$1.00
Mens	Mens Footwear		$1.50	$0.80	$0.50
Mens	Mens Outerwear		$0.50	$0.70	$0.50
Home	Home Accessories		$1.30	$1.20	($0.70)
Home	Home Textiles		$0.80	$0.60	($0.10)
Home	Other		$0.30	$0.40	($0.10)
Sporting Equipment	Camping and Hiking		$0.50	$0.80	$0.20
Sporting Equipment	Fishing		$1.00	$0.90	$0.30
Sporting Equipment	General Sporting		$0.70	$0.50	$0.20
Sporting Equipment	Hunting		$1.20	$0.80	($0.20)
Sporting Equipment	Winter Sports		$0.60	$0.90	$0.10
Sporting Equipment	Other		$0.30	$0.50	$0.00
Travel & School Bags	School Bags and Accessories		$0.70	($0.80)	$0.80
Travel & School Bags	Travel Bags and Accessories		$0.50	$0.60	$0.20
Kids	Boys		$0.90	$1.20	$1.10
Kids	Girls		$0.90	$1.10	$0.70
Kids	Kids Joint		$1.10	$1.60	$1.10
Signature Mens	Other		($0.10)	$0.10	$0.90
Signature Womens	Other		($0.20)	$0.50	$0.10
Other	Gift Cards / Certificates		$0.30	$0.00	($0.60)
Other	Other		$0.40	($1.10)	($0.40)
	Constant				

Next, I grouped the coefficients listed above … sort of like what one might do in school.

- “A” = Coefficient >= 1.20.
- “B” = Coefficient 0.80 – 1.19.
- “C” = Coefficient 0.40 – 0.79.
- “D” = Coefficient 0.00 – 0.39.
- “F” = Coefficient < 0.00.

Ok, that's all pretty geeky, isn't it? Here's what it means. The following table shows grades for phone, online, and retail purchases by merchandise category.

			Phone	Online	Retail
Womens	Womens Accessories		F	F	F
Womens	Womens Apparel		B	B	B
Womens	Womens Footwear		A	C	D
Womens	Womens Outerwear		C	C	C
Mens	Mens Accessories		C	C	C
Mens	Mens Apparel		A	A	B
Mens	Mens Footwear		A	B	C
Mens	Mens Outerwear		C	C	C
Home	Home Accessories		A	A	F
Home	Home Textiles		B	C	F
Home	Other		D	C	F
Sporting Equipment	Camping and Hiking		C	B	D
Sporting Equipment	Fishing		B	B	D
Sporting Equipment	General Sporting		C	C	D
Sporting Equipment	Hunting		A	B	F
Sporting Equipment	Winter Sports		C	B	D
Sporting Equipment	Other		D	C	D
Travel & School Bags	School Bags and Accessories		C	F	B
Travel & School Bags	Travel Bags and Accessories		C	C	D
Kids	Boys		B	A	B
Kids	Girls		B	B	C
Kids	Kids Joint		B	A	B
Signature Mens	Other		F	D	B
Signature Womens	Other		F	C	D
Other	Gift Cards / Certificates		D	D	F
Other	Other		C	F	F

Where you see a grade of "A", you see a channel / merchandise combination that results in a lot of catalogs each year. Then a grade of "B" yields fewer catalogs, "C" yields fewer, "D" yields fewer still, and "F" the fewest number of catalogs.

In other words, you mail a lot of catalogs to a Phone Buyer of Mens Apparel … you mail few catalogs to a Retail Buyer of Home Accessories.

How many ad dollars? Well, for the twelve-month file, here's the number of annual catalogs mailed for every $100 weighted dollars spent within each A/B/C/D/F grade.

- Annual Ad Cost = $5.35 + $1.30*(Grade_A Weighted Demand / 100) + $0.90*(Grade_B Weighted Demand / 100) + $0.50*(Grade_C Weighted Demand / 100) + $0.20*(Grade_D Weighted Demand / 100) - $0.30*(Grade_F Weighted Demand / 100).

How does this work?

Let's walk through a few examples.

Example #1: Customer just spent $100 on Mens Footwear Online, Recency = 1 Month.

- Mens Footwear Online = Grade "B".
- Weight = 1.000*Demand = $100.
- Annual Ad Cost = $5.35 + $0.90*(100/100) = $6.25.

Example #2: Customer just spent $100 on Mens Footwear Online, Recency = 1 Month. Customer also purchased $100 of Womens Footwear in Retail 24 Months Ago.

- Mens Footwear Online = "B" … Weight = 1.000*$100 = $100.00.
- Womens Footwear Retail = "D" … Weight = 0.427*$100 = $42.70.
- Annual Ad Cost = $5.35 + $0.90*(100/100) + $0.20*(42.70/100) = $6.34.

Example #3 = Customer spent $100 Online on Home Accessories 6 Months Ago, and the Customer spent $600 on Womens Apparel via Phone 48 Months Ago.

- Home Accessories Online = "A" … Weight = 0.746*$100 = $74.60.
- Womens Apparel Phone = "B" … Weight = 0.240*$600 = $144.00.
- Annual Ad Cost = $5.35 + $1.30*(100/100) + $0.90*(144/100) = $7.94.

Example #4 = Customer spent $400 in Retail on Sports Equipment Hunting 1 Month Ago.

- Sports Equipment Hunting = "F" … Weight = 1.000*$400 = $400.00.
- Annual Ad Cost = $5.35 – 0.30*(400/100) = $4.15.

There you go … you have four examples, and the four examples clearly illustrate how you ultimately make investment decisions, on an annual basis.

You assign a lot of ad cost to customers purchasing via the following combinations (Grade = "A"):

- Phone
    - Womens Footwear
    - Mens Apparel
    - Mens Footwear
    - Home Accessories
    - Hunting

- Online
    - Mens Apparel
    - Home Accessories
    - Boys
    - Kids Joint
- Retail
    - None.

Grade = “B”

- Phone
    - Womens Apparel
    - Home Textiles
    - Fishing
    - Boys
    - Girls
    - Kids Joint
- Online
    - Womens Apparel
    - Mens Footwear
    - Camping and Hiking
    - Fishing
    - Hunting
    - Winter Sports
    - Girls

Grade = “C”

- Phone
    - Womens Outerwear
    - Mens Accessories
    - Mens Outerwear
    - Camping and Hiking
    - General Sporting
    - Winter Sports
    - School Bags and Accessories
    - Travel Bags and Accessories
    - Other
- Online
    - Womens Footwear
    - Womens Outerwear

    - Mens Accessories
    - Mens Outerwear
    - Home Textiles
    - Home Other
    - General Sporting
    - Sporting Equipment Other
    - Travel Bags and Accessories
    - Signature Womens

Grade = “D”

- Phone
    - Home Other
    - Sporting Equipment Other
    - Gift Cards / Certificates
- Online
    - Signature Mens
    - Gift Cards / Certificates
- Retail
    - Womens Footwear
    - Camping and hiking
    - Fishing
    - General Sporting
    - Winter Sports
    - Sporting Equipment Other
    - Travel Bags and Accessories
    - Signature Womens

Grade = “F” (you remove catalogs from customers with these attributes)

- Phone
    - Womens Accessories
    - Signature Mens
    - Signature Womens
- Online
    - Womens Accessories
    - School Bags and Accessories
    - Other
- Retail
    - Womens Accessories
    - Home Accessories

- Home Textiles
- Home Other
- Hunting
- Gift Cards / Certificates
- Other

Within this framework, we can create a "Grade Point Average" for each customer. The "Grade Point Average" or "GPA" estimates the value of a customer to catalog marketing. Once we assign a GPA to each customer, we can then measure changes in the GPA over time, to understand if the customer file is becoming more catalog responsive or less catalog responsive.

Let's simplify the framework. For each of the past five years, I will only include one year of purchase history, and I will not weight the purchases by recency. I will simply sum demand, and then by channel/merchandise combination, I will weight dollars on an A/B/C/D/F or 4/3/2/1/0 level. This allows me to measure, by year, the relative strength of the customer file to catalog marketing.

Surprisingly, I am going to demonstrate that the file is mostly at constant strength. Here is the GPA for the 12-month file averaged across all channels.

Fiscal Yr.	GPA	Cases
2014	2.713	7,232,590
2013	2.741	7,004,910
2012	2.731	6,802,170
2011	2.710	7,061,745
2010	2.694	6,918,985

Now, this is for the phone + online channel. Same basic story.

Fiscal Yr.	GPA	Cases
2014	2.859	6,428,995
2013	2.886	6,248,700
2012	2.882	6,022,960
2011	2.844	6,325,085
2010	2.827	6,182,795

Here is the table for phone.

Fiscal Yr.	GPA	Cases
2014	3.176	2,344,270
2013	3.167	2,402,460
2012	3.161	2,454,630
2011	3.126	2,684,555
2010	3.101	2,783,180

If anything, the phone side of the business is getting even more catalog centric.

Here's the table for online.

Fiscal Yr.	GPA	Cases
2014	2.724	4,824,710
2013	2.753	4,574,215
2012	2.736	4,266,460
2011	2.688	4,390,275
2010	2.658	4,135,330

Some erosion in the past year … but nothing significant.

Here's the table for retail.

Fiscal Yr.	GPA	Cases
2014	1.964	1,568,030
2013	1.960	1,451,280
2012	1.963	1,458,315
2011	1.954	1,411,200
2010	1.962	1,385,340

Again, there's essentially no change across the board.

So your file maintains catalog responsiveness at the same rate, across time, with minor gains in the phone channel and minor declines online.

I share this, because the customer base is, overall, not changing much. You have reasonably constant catalog merchandise preference.

Having said that, customers do behave differently, not because of channels (though there are differences), but because of life stage. I analyzed customer share of spend by merchandise category for the past twelve months … analyzed by life stage (only for orders over the past five years). In other words, if a customer ordered for the 8th time in the past five years, and that order happened in the past year, then that purchase will be reflected in the 6-10 column in the table.

Here is how merchandise preference changes for customers (order frequency is for all channels) when the customer buys via the phone.

Channel	Merchandise	Group		Demand	Order 1	Order 2	Order 3	Order 4	Order 5	Ord 6-10	Ord 11-15	Ord 16-25	Order 26+
Mail/Phone	Womens	Womens Accessories		0.7%	0.7%	0.6%	0.6%	0.6%	0.6%	0.7%	0.7%	0.8%	0.9%
Mail/Phone	Womens	Womens Apparel		26.1%	18.8%	20.3%	21.9%	23.7%	24.1%	26.2%	28.2%	29.0%	29.6%
Mail/Phone	Womens	Womens Footwear		6.8%	9.7%	9.6%	8.3%	7.7%	7.3%	6.5%	5.9%	5.7%	5.8%
Mail/Phone	Womens	Womens Outerwear		7.1%	7.4%	7.6%	7.2%	7.3%	6.9%	6.9%	6.8%	7.0%	7.3%
Mail/Phone	Mens	Mens Accessories		1.3%	1.3%	1.2%	1.3%	1.3%	1.3%	1.3%	1.4%	1.3%	1.4%
Mail/Phone	Mens	Mens Apparel		22.0%	20.2%	21.0%	22.5%	23.3%	23.9%	24.3%	23.7%	21.8%	18.4%
Mail/Phone	Mens	Mens Footwear		7.7%	10.9%	11.4%	9.9%	9.4%	8.8%	7.9%	6.8%	6.3%	5.3%
Mail/Phone	Mens	Mens Outerwear		3.8%	3.5%	3.8%	4.1%	3.8%	4.0%	3.9%	3.8%	3.8%	3.7%
Mail/Phone	Home	Home Accessories		3.4%	3.2%	3.1%	3.5%	3.7%	3.9%	3.7%	3.5%	3.4%	3.0%
Mail/Phone	Home	Home Textiles		5.8%	5.4%	5.4%	5.7%	5.5%	5.4%	5.6%	5.9%	6.1%	6.4%
Mail/Phone	Home	Other		1.7%	1.8%	1.5%	1.9%	1.6%	1.4%	1.5%	1.6%	1.8%	2.2%
Mail/Phone	Sporting Equipment	Camping and Hiking		0.9%	1.3%	0.8%	0.8%	0.7%	0.9%	0.7%	0.8%	1.0%	1.2%
Mail/Phone	Sporting Equipment	Fishing		0.7%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%	0.7%	0.9%
Mail/Phone	Sporting Equipment	General Sporting		1.1%	1.5%	1.0%	0.9%	0.8%	0.8%	0.8%	0.9%	1.2%	1.4%
Mail/Phone	Sporting Equipment	Hunting		1.2%	1.5%	1.4%	1.3%	1.1%	1.2%	1.1%	1.0%	1.1%	1.2%
Mail/Phone	Sporting Equipment	Winter Sports		0.9%	1.2%	0.9%	0.8%	0.8%	0.9%	0.8%	0.8%	0.9%	1.0%
Mail/Phone	Sporting Equipment	Other		0.8%	1.0%	0.6%	0.7%	0.6%	0.6%	0.8%	0.6%	0.7%	1.1%
Mail/Phone	Travel & School Bags	School Bags and Accessories		1.1%	2.4%	2.6%	2.2%	1.7%	1.4%	0.9%	0.7%	0.6%	0.5%
Mail/Phone	Travel & School Bags	Travel Bags and Accessories		2.8%	4.9%	4.0%	3.4%	3.0%	2.8%	2.5%	2.4%	2.3%	2.4%
Mail/Phone	Kids	Boys		0.5%	0.2%	0.3%	0.3%	0.3%	0.4%	0.4%	0.5%	0.6%	0.8%
Mail/Phone	Kids	Girls		0.5%	0.2%	0.3%	0.3%	0.4%	0.4%	0.5%	0.5%	0.7%	0.9%
Mail/Phone	Kids	Kids Joint		0.8%	0.6%	0.7%	0.6%	0.7%	0.7%	0.7%	0.8%	0.9%	1.1%
Mail/Phone	Signature Mens	Other		0.3%	0.3%	0.2%	0.3%	0.2%	0.2%	0.2%	0.3%	0.3%	0.4%
Mail/Phone	Signature Womens	Other		0.5%	0.3%	0.2%	0.3%	0.3%	0.3%	0.3%	0.5%	0.6%	1.1%
Mail/Phone	Other	Gift Cards / Certificates		1.2%	0.8%	0.9%	0.8%	0.9%	1.1%	1.1%	1.1%	1.4%	1.6%
Mail/Phone	Other	Other		0.1%	0.3%	0.0%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%

Red numbers are "above average". Read across the Womens Apparel row. On a first purchase (& that purchase happens via mail/phone), 19% of the demand comes in via Womens Apparel. Then the percentages consistently increase as we evaluate loyal customers … those ordering for the 26th+ time over the past five years, and using the phone channel on this specific order spend 30% of their demand in Womens Apparel.

First-time buyers skew to Sporting Equipment, Travel & School Bags, and Mens/Womens Footwear. From there, a slow transition happens, and the customer migrates to Mens/Womens Apparel at higher rates, as well as Kids and Signature Mens/Womens (though the rates are low), and to Home Textiles.

Does the table look different online?

Channel	Merchandise	Group	Demand	Order 1	Order 2	Order 3	Order 4	Order 5	Ord 6-10	Ord 11-15	Ord 16-25	Order 26+
Web	Womens	Womens Accessories	1.0%	0.9%	0.9%	0.9%	0.9%	0.9%	0.9%	1.0%	1.0%	1.2%
Web	Womens	Womens Apparel	21.5%	11.8%	15.4%	17.2%	18.4%	19.6%	21.8%	24.4%	26.1%	28.7%
Web	Womens	Womens Footwear	7.7%	12.4%	10.3%	9.2%	8.5%	7.9%	6.9%	6.0%	5.7%	5.4%
Web	Womens	Womens Outerwear	6.8%	7.6%	7.3%	7.1%	7.0%	7.0%	6.6%	6.4%	6.3%	6.6%
Web	Mens	Mens Accessories	1.7%	1.6%	1.7%	1.7%	1.7%	1.7%	1.7%	1.7%	1.8%	1.8%
Web	Mens	Mens Apparel	19.5%	14.6%	17.7%	19.0%	20.2%	20.9%	22.1%	22.2%	21.4%	17.3%
Web	Mens	Mens Footwear	7.1%	11.1%	9.4%	8.6%	8.0%	7.6%	6.8%	5.9%	5.2%	4.3%
Web	Mens	Mens Outerwear	3.9%	4.3%	4.2%	4.3%	4.3%	4.0%	4.0%	3.9%	3.6%	3.4%
Web	Home	Home Accessories	3.6%	3.2%	3.6%	3.8%	3.9%	4.2%	3.8%	3.7%	3.4%	3.2%
Web	Home	Home Textiles	5.4%	4.8%	5.0%	5.1%	5.0%	5.2%	5.3%	5.5%	5.7%	6.3%
Web	Home	Other	1.6%	1.3%	1.1%	1.3%	1.4%	1.6%	1.5%	1.6%	1.7%	2.0%
Web	Sporting Equipment	Camping and Hiking	1.6%	2.0%	1.6%	1.5%	1.5%	1.5%	1.4%	1.3%	1.5%	1.6%
Web	Sporting Equipment	Fishing	0.9%	0.9%	0.8%	0.7%	0.8%	0.8%	0.8%	0.9%	1.0%	1.1%
Web	Sporting Equipment	General Sporting	1.4%	2.2%	1.5%	1.4%	1.2%	1.2%	1.1%	1.2%	1.3%	1.6%
Web	Sporting Equipment	Hunting	1.6%	2.2%	1.8%	1.6%	1.5%	1.5%	1.4%	1.4%	1.3%	1.5%
Web	Sporting Equipment	Winter Sports	1.4%	1.6%	1.6%	1.4%	1.4%	1.4%	1.4%	1.4%	1.3%	1.4%
Web	Sporting Equipment	Other	1.0%	1.4%	1.0%	0.9%	0.9%	0.9%	0.9%	1.0%	0.9%	1.1%
Web	Travel & School Bags	School Bags and Accessories	2.3%	5.0%	4.5%	3.6%	3.0%	2.5%	1.8%	1.2%	1.0%	0.8%
Web	Travel & School Bags	Travel Bags and Accessories	4.0%	6.1%	5.5%	5.1%	4.6%	4.1%	3.6%	3.2%	3.0%	2.9%
Web	Kids	Boys	1.0%	0.6%	0.7%	0.9%	1.0%	0.9%	1.0%	1.1%	1.1%	1.2%
Web	Kids	Girls	1.1%	0.7%	0.8%	0.9%	0.9%	1.0%	1.1%	1.2%	1.3%	1.5%
Web	Kids	Kids Joint	1.9%	1.8%	1.8%	1.8%	1.9%	1.9%	2.0%	1.9%	1.9%	2.0%
Web	Signature Mens	Other	0.5%	0.5%	0.5%	0.5%	0.5%	0.4%	0.5%	0.5%	0.5%	0.6%
Web	Signature Womens	Other	0.8%	0.5%	0.5%	0.5%	0.6%	0.5%	0.6%	0.8%	1.0%	1.4%
Web	Other	Gift Cards / Certificates	0.7%	0.8%	0.7%	0.7%	0.7%	0.7%	0.6%	0.7%	0.7%	0.8%
Web	Other	Other	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.2%

The trends are reasonably similar, to be honest. The magnitude of the numbers is a bit different, obviously. But look across the Womens Apparel row – 1st time buyers purchase Womens Apparel at an 11.8% clip – those purchasing for the 26th+ time purchase Womens Apparel at a 28.7% clip. Mens/Womens Footwear start off at 23.5% share, and then decline to a 9.7% share.

How about retail, do the trends hold in retail as well?

Channel	Merchandise	Group	Demand	Order 1	Order 2	Order 3	Order 4	Order 5	Ord 6-10	Ord 11-15	Ord 16-25	Order 26+
Retail	Womens	Womens Accessories	2.1%	1.9%	2.0%	2.0%	2.1%	2.0%	2.1%	2.1%	2.1%	2.3%
Retail	Womens	Womens Apparel	17.4%	11.8%	13.4%	13.8%	14.8%	15.4%	16.9%	19.0%	19.9%	19.7%
Retail	Womens	Womens Footwear	7.4%	11.0%	10.1%	9.7%	9.3%	8.8%	7.7%	6.9%	6.2%	5.4%
Retail	Womens	Womens Outerwear	8.0%	9.3%	9.3%	8.8%	9.0%	8.8%	8.5%	7.7%	7.6%	6.7%
Retail	Mens	Mens Accessories	2.7%	2.8%	2.8%	2.8%	2.9%	2.8%	2.7%	2.7%	2.7%	2.7%
Retail	Mens	Mens Apparel	14.3%	12.2%	13.2%	13.9%	14.4%	14.3%	15.1%	15.6%	15.5%	13.4%
Retail	Mens	Mens Footwear	7.9%	11.5%	10.6%	10.2%	10.0%	9.4%	8.5%	7.6%	6.5%	5.4%
Retail	Mens	Mens Outerwear	5.4%	6.9%	6.7%	6.1%	5.9%	6.1%	5.7%	5.3%	5.0%	4.3%
Retail	Home	Home Accessories	2.8%	2.7%	2.5%	2.8%	2.6%	2.6%	2.6%	2.7%	2.8%	3.3%
Retail	Home	Home Textiles	2.4%	1.5%	1.4%	1.7%	1.7%	1.9%	2.0%	2.2%	2.7%	3.4%
Retail	Home	Other	1.1%	0.6%	0.8%	0.4%	0.5%	0.6%	0.9%	1.0%	1.1%	1.9%
Retail	Sporting Equipment	Camping and Hiking	3.1%	3.5%	3.3%	3.4%	3.2%	3.3%	3.2%	3.0%	2.9%	3.1%
Retail	Sporting Equipment	Fishing	1.6%	1.4%	1.3%	1.4%	1.4%	1.3%	1.4%	1.5%	1.5%	2.1%
Retail	Sporting Equipment	General Sporting	3.6%	3.4%	3.3%	3.2%	3.6%	3.5%	3.4%	3.6%	3.5%	4.1%
Retail	Sporting Equipment	Hunting	1.8%	1.8%	1.3%	1.6%	1.4%	1.5%	1.5%	1.7%	1.7%	2.5%
Retail	Sporting Equipment	Winter Sports	1.4%	1.2%	1.1%	1.3%	1.2%	1.4%	1.3%	1.3%	1.4%	1.7%
Retail	Sporting Equipment	Other	3.1%	2.9%	2.8%	2.9%	2.3%	2.7%	2.8%	2.6%	3.4%	3.8%
Retail	Travel & School Bags	School Bags and Accessories	1.8%	2.7%	3.0%	2.8%	2.6%	2.3%	2.1%	1.7%	1.4%	1.0%
Retail	Travel & School Bags	Travel Bags and Accessories	2.6%	2.9%	2.8%	2.8%	2.8%	2.7%	2.6%	2.6%	2.5%	2.4%
Retail	Kids	Boys	1.1%	0.8%	1.0%	1.1%	1.0%	1.1%	1.1%	1.1%	1.2%	1.1%
Retail	Kids	Girls	1.4%	1.1%	1.3%	1.3%	1.3%	1.3%	1.5%	1.5%	1.6%	1.5%
Retail	Kids	Kids Joint	2.3%	2.1%	2.2%	2.4%	2.4%	2.4%	2.5%	2.5%	2.5%	2.2%
Retail	Signature Mens	Other	0.9%	1.1%	1.0%	1.0%	0.9%	0.9%	0.9%	0.9%	0.9%	0.9%
Retail	Signature Womens	Other	1.2%	1.1%	1.0%	0.9%	1.0%	1.0%	1.0%	1.1%	1.2%	1.5%
Retail	Other	Gift Cards / Certificates	2.0%	1.5%	1.5%	1.7%	1.5%	1.5%	1.7%	1.7%	1.8%	3.0%
Retail	Other	Other	0.3%	0.1%	0.2%	0.2%	0.1%	0.3%	0.2%	0.3%	0.2%	0.6%

Again, the magnitude of the numbers change, but the trends are consistent.

The trends indicate that there are differences in customer behavior by channel (retail customers are much less focused on Mens/Womens Apparel and are more outdoor centric), and there are differences in customer behavior by life stage.

In total, then, we have the following relationships:

Channel	Merchandise	Group		Demand	Order 1	Order 2	Order 3	Order 4	Order 5	Ord 6-10	Ord 11-15	Ord 16-25	Order 26+
Totals	Womens	Womens Accessories		1.1%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.1%	1.2%	1.4%
Totals	Womens	Womens Apparel		21.9%	13.1%	16.3%	17.9%	19.3%	20.2%	22.2%	24.5%	25.7%	26.8%
Totals	Womens	Womens Footwear		7.4%	11.7%	10.1%	9.1%	8.4%	7.9%	6.9%	6.2%	5.8%	5.5%
Totals	Womens	Womens Outerwear		7.1%	7.8%	7.7%	7.4%	7.4%	7.3%	7.0%	6.8%	6.8%	6.8%
Totals	Mens	Mens Accessories		1.8%	1.7%	1.7%	1.7%	1.8%	1.8%	1.8%	1.8%	1.8%	1.9%
Totals	Mens	Mens Apparel		19.2%	15.3%	17.8%	19.1%	20.1%	20.6%	21.5%	21.4%	20.3%	16.6%
Totals	Mens	Mens Footwear		7.4%	11.1%	10.1%	9.2%	8.7%	8.3%	7.5%	6.5%	5.8%	4.8%
Totals	Mens	Mens Outerwear		4.2%	4.5%	4.5%	4.5%	4.4%	4.4%	4.3%	4.1%	4.0%	3.7%
Totals	Home	Home Accessories		3.4%	3.1%	3.3%	3.6%	3.7%	3.8%	3.6%	3.5%	3.3%	3.2%
Totals	Home	Home Textiles		4.9%	4.5%	4.5%	4.7%	4.6%	4.7%	4.8%	5.0%	5.2%	5.6%
Totals	Home	Other		1.5%	1.3%	1.1%	1.3%	1.3%	1.4%	1.4%	1.5%	1.6%	2.0%
Totals	Sporting Equipment	Camping and Hiking		1.7%	2.1%	1.7%	1.6%	1.6%	1.6%	1.5%	1.5%	1.6%	1.9%
Totals	Sporting Equipment	Fishing		1.0%	0.9%	0.8%	0.8%	0.8%	0.8%	0.9%	0.9%	1.0%	1.3%
Totals	Sporting Equipment	General Sporting		1.8%	2.3%	1.7%	1.6%	1.5%	1.5%	1.4%	1.6%	1.7%	2.2%
Totals	Sporting Equipment	Hunting		1.5%	2.0%	1.6%	1.5%	1.4%	1.4%	1.3%	1.3%	1.3%	1.7%
Totals	Sporting Equipment	Winter Sports		1.3%	1.5%	1.3%	1.2%	1.2%	1.3%	1.2%	1.2%	1.2%	1.4%
Totals	Sporting Equipment	Other		1.4%	1.6%	1.2%	1.2%	1.1%	1.1%	1.2%	1.2%	1.4%	1.8%
Totals	Travel & School Bags	School Bags and Accessories		1.9%	4.2%	3.8%	3.1%	2.6%	2.2%	1.6%	1.1%	1.0%	0.8%
Totals	Travel & School Bags	Travel Bags and Accessories		3.4%	5.4%	4.7%	4.2%	3.9%	3.5%	3.1%	2.8%	2.7%	2.6%
Totals	Kids	Boys		0.9%	0.6%	0.7%	0.8%	0.8%	0.8%	0.9%	0.9%	1.0%	1.1%
Totals	Kids	Girls		1.0%	0.7%	0.8%	0.8%	0.8%	0.9%	1.0%	1.0%	1.2%	1.3%
Totals	Kids	Kids Joint		1.7%	1.6%	1.6%	1.6%	1.7%	1.7%	1.7%	1.7%	1.7%	1.8%
Totals	Signature Mens	Other		0.5%	0.6%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.7%
Totals	Signature Womens	Other		0.8%	0.5%	0.5%	0.5%	0.6%	0.5%	0.6%	0.8%	0.9%	1.3%
Totals	Other	Gift Cards / Certificates		1.1%	0.9%	0.9%	0.9%	0.9%	1.0%	1.0%	1.0%	1.1%	1.6%
Totals	Other	Other		0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.3%

Half of your demand comes from customers ordering for an 11th+ time in the past five years, FYI (the last three columns).

Early life-cycle groups include:

- Womens Footwear
- Womens Outerwear
- Mens Footwear
- Mens Outerwear
- School Bags and Accessories
- Travel Bags and Accessories
- Sporting Equipment

Mid life-cycle groups include:

- Mens Apparel
- Home Accessories

Late life-cycle groups include:

- Womens Apparel
- Home Textiles
- Sporting Equipment
- Kids
- Signature Mens/Womens
- Gift Cards / Certificates

For most catalogers, the distribution of merchandise change across the customer life-cycle creates challenges. Catalogs are typically designed for mass audiences. Customer journeys are personal, unique, and difficult to market against.

The Catalog as an Influencer

In 1990, the catalog dictated what the customer purchased. The customer didn't have infinite choices, instead, the customer could choose what was offered.

Later in the paper, I will explain that I believe the catalog has significant value to L.L. Bean. That goes without saying. What needs to be considered, however, are the subtle ways that the catalog influences demand.

For many clients, I run an analysis where I measure how demand allocates across merchandise divisions on what I call "catalog days" and "other days". "Catalog days" are simply defined as days when phone demand generates an above-average share of volume. Think of these days as being Monday – Wednesday in-home windows, or the Monday – Wednesday of the week after a major in-home window. Think of "other days" as being weekends … Friday – Sunday, or early-week periods when there are no significant catalog in-homes.

In other projects, catalogs tend to steer demand to various merchandise categories, while actually steering demand out of other merchandise categories.

At L.L. Bean, it is obvious that the catalog steers demand into Womens Apparel, at the expense of just about every other merchandise division or merchandise group.

Let's look at an example. In this example, I look at customers who, through December 31, 2013, purchased for the first time in the past year, and their primary merchandise group was Womens Apparel. I then measure how these customers behave in the next year, via Phone, Online, and Retail Stores, across "catalog days" and "other days", which will be labeled as "non".

Here's the table – explanation is to follow:

Womens Apparel 1st Time Buyers - Subsequent Activity		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.7%	0.9%	2.6%	1.1%	1.3%	2.2%	1.0%	1.4%	-28.0%
Womens	Womens Apparel	54.4%	50.5%	38.8%	48.5%	42.2%	28.9%	50.7%	41.5%	22.1%
Womens	Womens Footwear	6.6%	6.8%	6.5%	6.8%	7.6%	8.9%	6.7%	7.6%	-12.0%
Womens	Womens Outerwear	8.7%	7.7%	9.2%	9.6%	9.0%	11.6%	8.2%	9.5%	-13.9%
Mens	Mens Accessories	0.7%	0.8%	2.0%	1.2%	1.1%	2.8%	0.9%	1.4%	-36.9%
Mens	Mens Apparel	11.4%	10.9%	11.1%	12.4%	12.1%	10.3%	11.1%	11.9%	-6.5%
Mens	Mens Footwear	3.3%	3.6%	4.3%	3.5%	4.5%	4.8%	3.5%	4.3%	-18.1%
Mens	Mens Outerwear	1.9%	2.2%	3.9%	3.0%	3.0%	4.9%	2.3%	3.3%	-31.7%
Home	Home Accessories	1.9%	2.1%	2.7%	1.9%	2.6%	2.7%	2.1%	2.4%	-12.9%
Home	Home Textiles	4.0%	3.8%	1.3%	5.0%	4.6%	2.8%	3.6%	4.4%	-18.1%
Home	Other	0.7%	0.6%	0.4%	0.6%	0.7%	0.3%	0.6%	0.6%	-4.4%
Sporting Equipment	Camping and Hiking	0.4%	0.9%	2.3%	0.3%	1.1%	2.1%	0.9%	1.1%	-16.5%
Sporting Equipment	Fishing	0.2%	0.6%	0.7%	0.2%	0.6%	1.0%	0.5%	0.6%	-14.4%
Sporting Equipment	General Sporting	0.5%	0.7%	2.0%	0.5%	0.7%	1.6%	0.8%	0.8%	-3.6%
Sporting Equipment	Hunting	0.3%	0.6%	0.7%	0.5%	0.9%	0.8%	0.5%	0.8%	-35.3%
Sporting Equipment	Winter Sports	0.2%	0.7%	0.6%	0.8%	0.7%	0.7%	0.5%	0.7%	-31.4%
Sporting Equipment	Other	0.6%	0.4%	1.8%	0.1%	0.4%	3.4%	0.6%	0.8%	-23.7%
Travel & School Bags	School Bags and Accessories	0.3%	0.9%	0.6%	0.3%	1.0%	1.0%	0.7%	0.8%	-18.6%
Travel & School Bags	Travel Bags and Accessories	1.9%	2.7%	1.9%	2.2%	2.9%	2.8%	2.4%	2.7%	-13.9%
Kids	Boys	0.1%	0.2%	0.6%	0.2%	0.3%	0.6%	0.2%	0.3%	-31.7%
Kids	Girls	0.0%	0.4%	0.9%	0.1%	0.6%	0.8%	0.3%	0.5%	-40.3%
Kids	Kids Joint	0.2%	0.8%	1.0%	0.3%	0.7%	0.7%	0.6%	0.6%	-4.3%
Signature Mens	Other	0.1%	0.1%	0.6%	0.0%	0.2%	0.6%	0.2%	0.2%	-22.1%
Signature Womens	Other	0.3%	0.6%	1.1%	0.3%	0.6%	1.1%	0.6%	0.6%	-10.3%
Other	Gift Cards / Certificates	0.7%	0.3%	1.7%	0.7%	0.6%	2.1%	0.6%	0.8%	-33.1%
Other	Other	0.0%	0.0%	0.2%	0.0%	0.0%	0.2%	0.0%	0.1%	-50.8%

Read across the "Womens Apparel" row.

- Phone Channel
  - 54.4% of future demand on Catalog Days happens via Womens Apparel.
  - 48.5% of future $ on Other Days ("non") happens via Womens Apparel.
- Online Channel
  - 50.5% of future demand on Catalog Days happens via Womens Apparel.
  - 42.2% of future $ on Other Days ("non") happens via Womens Apparel.
- Retail Channel
  - 38.8% of future demand on Catalog Days happens via Womens Apparel.
  - 28.9% of future $ on Other Days ("non") happens via Womens Apparel.
- Total Results
  - 50.7% of future demand on Catalog Days happens via Womens Apparel.
  - 41.5% of future $ on Other Days ("non") happens via Womens Apparel.

Clearly, the catalog shifts demand around, shifting it into Womens Apparel.

If I roll-up the results to a divisional level, here's what I see.

Division	% Cat	% Non	Change
Wmns	66.6%	60.1%	10.9%
Mens	17.8%	20.9%	-15.0%
Home	6.4%	7.5%	-15.2%
Spt Equp	3.8%	4.8%	-20.7%
TrvSchBg	3.0%	3.6%	-15.0%
Kids	1.1%	1.4%	-22.7%
Signature	0.7%	0.8%	-13.3%
Wmn Oth	15.9%	18.5%	-14.2%
Wmn App	50.7%	41.5%	22.1%

The bottom two rows divide Womens into all Other, and Womens Apparel. What do you observe?

- The catalog steers demand out of all other divisions, and into Womens Apparel.

Now, granted, the catalog does drive volume to other categories, no doubt about it. But in the process of driving volume, it also re-allocates volume.

Ok, this is what was observed for 1x buyers of Womens Apparel. How about a customer with 16+ purchases, with Womens Apparel being the most preferred merchandise group?

Division	% Cat	% Non	Change
Wmns	60.7%	55.0%	10.4%
Mens	17.4%	19.7%	-11.9%
Home	8.9%	9.9%	-10.4%
Spt Equip	5.2%	6.7%	-21.6%
TrvSchBg	2.7%	3.1%	-11.9%
Kids	2.7%	3.1%	-13.3%
Signature	1.6%	1.5%	4.9%
Wmn Oth	14.8%	15.6%	-5.3%
Wmn App	45.9%	39.3%	16.6%

Even for trained customers who already prefer Womens Apparel, we see the same thing.

Let's run the same two tables, but this time, we'll review the results for customers preferring Mens Apparel. This is the table for 1x buyers with a Mens Apparel preference.

Mens Apparel 1st Time Buyers - Subsequent Activity		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.4%	0.6%	1.6%	0.5%	0.7%	1.8%	0.6%	0.8%	-25.3%
Womens	Womens Apparel	15.1%	12.2%	12.2%	12.7%	11.8%	10.1%	13.1%	11.7%	11.7%
Womens	Womens Footwear	3.3%	4.7%	6.6%	3.8%	5.3%	6.0%	4.4%	5.1%	-12.2%
Womens	Womens Outerwear	4.3%	4.5%	4.5%	3.9%	4.6%	6.3%	4.5%	4.7%	-4.8%
Mens	Mens Accessories	1.7%	2.0%	2.5%	1.6%	2.0%	3.8%	1.9%	2.2%	-11.1%
Mens	Mens Apparel	52.0%	46.0%	34.4%	50.2%	44.9%	33.7%	46.8%	44.4%	5.3%
Mens	Mens Footwear	7.0%	7.5%	9.4%	7.9%	7.2%	8.4%	7.5%	7.5%	-0.6%
Mens	Mens Outerwear	4.0%	4.9%	8.1%	4.5%	4.7%	8.1%	4.9%	5.2%	-4.5%
Home	Home Accessories	2.0%	2.0%	2.1%	2.3%	2.1%	3.0%	2.0%	2.2%	-9.5%
Home	Home Textiles	4.4%	3.3%	1.5%	3.2%	3.5%	1.3%	3.5%	3.1%	12.2%
Home	Other	0.3%	0.6%	0.8%	2.0%	0.5%	0.4%	0.5%	0.8%	-35.8%
Sporting Equipment	Camping and Hiking	0.2%	1.0%	2.9%	0.6%	1.1%	2.2%	0.9%	1.1%	-16.3%
Sporting Equipment	Fishing	0.3%	0.8%	0.9%	0.4%	0.6%	0.9%	0.6%	0.6%	10.6%
Sporting Equipment	General Sporting	0.3%	0.8%	2.1%	0.6%	1.0%	2.0%	0.8%	1.1%	-29.9%
Sporting Equipment	Hunting	0.8%	1.6%	0.7%	0.9%	1.7%	0.5%	1.2%	1.3%	-8.2%
Sporting Equipment	Winter Sports	0.3%	0.6%	0.6%	0.3%	1.3%	1.1%	0.5%	1.0%	-53.0%
Sporting Equipment	Other	0.1%	0.4%	1.1%	0.2%	0.7%	1.0%	0.4%	0.6%	-39.2%
Travel & School Bags	School Bags and Accessories	0.4%	1.0%	0.7%	0.5%	1.0%	1.6%	0.8%	1.0%	-19.0%
Travel & School Bags	Travel Bags and Accessories	1.7%	3.0%	1.8%	2.4%	3.0%	1.9%	2.4%	2.7%	-11.0%
Kids	Boys	0.1%	0.3%	0.7%	0.1%	0.3%	0.7%	0.3%	0.3%	-2.5%
Kids	Girls	0.1%	0.3%	0.6%	0.2%	0.3%	0.9%	0.3%	0.3%	-15.1%
Kids	Kids Joint	0.3%	0.7%	1.0%	0.3%	0.7%	1.0%	0.6%	0.7%	-13.4%
Signature Mens	Other	0.1%	0.7%	1.5%	0.2%	0.5%	1.9%	0.6%	0.6%	-0.9%
Signature Womens	Other	0.1%	0.3%	0.8%	0.1%	0.3%	0.6%	0.3%	0.3%	-14.0%
Other	Gift Cards / Certificates	0.7%	0.4%	0.9%	0.7%	0.4%	0.7%	0.5%	0.5%	0.8%
Other	Other	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	-62.3%

Here, we do see that demand is driven into Mens Apparel as well as Womens Apparel.

Here's the same table for customers with 16+ purchases and a Mens Apparel preference.

Mens Apparel Preference 16+ Buyers - Subsequent		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.5%	0.6%	1.7%	0.6%	0.8%	2.0%	0.8%	1.1%	-25.5%
Womens	Womens Apparel	16.6%	14.5%	16.6%	14.2%	12.7%	14.5%	15.6%	13.4%	15.9%
Womens	Womens Footwear	3.6%	3.5%	4.4%	3.9%	3.7%	4.5%	3.7%	3.9%	-6.8%
Womens	Womens Outerwear	4.2%	3.8%	5.2%	4.7%	4.2%	5.9%	4.2%	4.7%	-10.2%
Mens	Mens Accessories	1.9%	2.4%	3.4%	2.3%	2.8%	3.6%	2.5%	2.8%	-13.4%
Mens	Mens Apparel	39.6%	39.2%	26.9%	37.3%	37.7%	25.4%	37.0%	34.8%	6.4%
Mens	Mens Footwear	7.4%	6.3%	6.5%	7.4%	6.5%	6.6%	6.7%	6.8%	-0.8%
Mens	Mens Outerwear	5.1%	5.0%	5.6%	5.7%	5.1%	5.9%	5.2%	5.4%	-4.8%
Home	Home Accessories	2.4%	2.6%	2.5%	2.9%	2.8%	2.9%	2.5%	2.8%	-11.8%
Home	Home Textiles	5.4%	4.7%	3.0%	5.8%	5.2%	2.8%	4.6%	4.8%	-3.5%
Home	Other	1.6%	1.5%	1.3%	1.3%	1.6%	1.3%	1.5%	1.5%	-0.4%
Sporting Equipment	Camping and Hiking	0.8%	1.3%	2.6%	1.0%	1.5%	2.5%	1.4%	1.6%	-12.7%
Sporting Equipment	Fishing	0.9%	1.2%	1.4%	0.8%	1.2%	1.4%	1.1%	1.2%	-1.7%
Sporting Equipment	General Sporting	1.0%	1.3%	3.1%	1.3%	1.3%	3.4%	1.6%	1.8%	-11.5%
Sporting Equipment	Hunting	1.2%	1.6%	1.5%	1.7%	1.8%	1.5%	1.5%	1.7%	-12.5%
Sporting Equipment	Winter Sports	0.5%	0.9%	0.7%	0.9%	1.3%	1.2%	0.8%	1.2%	-35.3%
Sporting Equipment	Other	0.6%	0.9%	2.8%	0.8%	0.9%	2.9%	1.1%	1.3%	-14.5%
Travel & School Bags	School Bags and Accessories	0.4%	0.7%	0.7%	0.5%	0.7%	1.2%	0.6%	0.8%	-22.8%
Travel & School Bags	Travel Bags and Accessories	2.2%	2.7%	2.4%	2.5%	2.9%	2.4%	2.4%	2.7%	-8.5%
Kids	Boys	0.5%	0.8%	0.7%	0.6%	0.9%	0.9%	0.7%	0.8%	-16.0%
Kids	Girls	0.6%	0.8%	1.1%	0.6%	0.9%	1.1%	0.8%	0.9%	-9.0%
Kids	Kids Joint	0.7%	1.3%	1.5%	0.9%	1.3%	1.7%	1.2%	1.3%	-8.5%
Signature Mens	Other	0.6%	0.8%	1.2%	0.6%	0.9%	1.3%	0.8%	0.9%	-14.3%
Signature Womens	Other	0.5%	0.7%	0.9%	0.4%	0.5%	1.1%	0.7%	0.6%	9.9%
Other	Gift Cards / Certificates	1.2%	0.7%	1.9%	1.3%	0.7%	1.9%	1.1%	1.2%	-7.3%
Other	Other	0.1%	0.1%	0.3%	0.1%	0.2%	0.2%	0.1%	0.1%	-13.3%

Again, we see the reallocation into Mens Apparel and Womens Apparel.

Here the table for 1x Home Textile merchandise preference.

Home Textiles 1st Time Buyers - Subsequent Activity		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.2%	0.8%	2.5%	1.2%	1.1%	2.6%	0.7%	1.3%	-44.1%
Womens	Womens Apparel	21.4%	13.8%	12.5%	17.8%	14.6%	9.4%	16.2%	14.6%	11.1%
Womens	Womens Footwear	7.1%	5.4%	17.0%	5.7%	7.1%	19.3%	6.9%	8.6%	-19.6%
Womens	Womens Outerwear	4.2%	5.0%	6.7%	3.4%	4.0%	6.8%	4.9%	4.2%	14.7%
Mens	Mens Accessories	0.6%	2.0%	2.2%	1.3%	1.7%	2.9%	1.6%	1.8%	-13.2%
Mens	Mens Apparel	11.3%	13.5%	14.9%	13.8%	12.2%	9.5%	12.9%	12.1%	5.9%
Mens	Mens Footwear	3.6%	4.7%	9.3%	6.8%	5.0%	17.2%	4.7%	7.1%	-33.8%
Mens	Mens Outerwear	2.1%	1.9%	2.7%	3.4%	3.0%	3.2%	2.0%	3.1%	-34.9%
Home	Home Accessories	3.6%	5.6%	5.1%	2.3%	3.7%	3.0%	5.0%	3.3%	49.4%
Home	Home Textiles	35.8%	30.5%	6.3%	32.5%	30.4%	5.5%	30.2%	27.3%	10.6%
Home	Other	5.5%	3.4%	0.0%	1.0%	2.9%	0.0%	3.8%	2.1%	83.1%
Sporting Equipment	Camping and Hiking	0.3%	0.9%	4.0%	1.1%	1.9%	2.7%	1.0%	1.9%	-46.8%
Sporting Equipment	Fishing	0.0%	0.8%	0.3%	0.0%	0.2%	0.5%	0.5%	0.2%	142.9%
Sporting Equipment	General Sporting	0.6%	0.7%	2.3%	0.6%	1.1%	2.2%	0.8%	1.1%	-29.3%
Sporting Equipment	Hunting	0.4%	1.4%	0.7%	0.8%	1.2%	0.8%	1.0%	1.0%	0.4%
Sporting Equipment	Winter Sports	0.9%	1.1%	0.9%	0.9%	0.5%	0.1%	1.0%	0.5%	100.9%
Sporting Equipment	Other	0.1%	1.1%	1.1%	2.4%	0.1%	0.3%	0.8%	0.7%	16.0%
Travel & School Bags	School Bags and Accessories	0.3%	1.0%	0.2%	0.4%	1.4%	0.7%	0.7%	1.1%	-34.4%
Travel & School Bags	Travel Bags and Accessories	1.2%	3.3%	1.8%	1.3%	4.9%	2.5%	2.5%	3.7%	-32.3%
Kids	Boys	0.0%	0.3%	0.1%	0.2%	0.4%	0.3%	0.2%	0.3%	-50.1%
Kids	Girls	0.1%	0.4%	0.9%	0.0%	0.5%	0.5%	0.3%	0.4%	-15.6%
Kids	Kids Joint	0.4%	1.2%	1.7%	0.3%	1.3%	1.3%	1.0%	1.1%	-7.3%
Signature Mens	Other	0.0%	0.6%	1.3%	0.2%	0.1%	5.2%	0.4%	0.9%	-47.7%
Signature Womens	Other	0.2%	0.3%	3.6%	0.3%	0.3%	3.5%	0.5%	0.8%	-28.4%
Other	Gift Cards / Certificates	0.1%	0.3%	2.0%	2.5%	0.3%	0.1%	0.4%	0.8%	-53.6%
Other	Other	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	88.4%

Here, the gains primarily move into Womens Apparel, Mens Apparel, and Home Textiles.

Next, 16x+ buyers with Home Textiles preference.

Home Textiles Preference 16+ Buyers - Subsequent Activity		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.8%	1.2%	2.5%	0.7%	1.5%	2.6%	1.4%	1.6%	-12.8%
Womens	Womens Apparel	20.5%	19.0%	16.8%	15.0%	14.9%	13.3%	19.0%	14.6%	30.6%
Womens	Womens Footwear	6.3%	5.6%	5.4%	6.2%	5.2%	5.1%	5.8%	5.4%	7.1%
Womens	Womens Outerwear	5.9%	5.5%	6.3%	5.9%	4.9%	5.5%	5.8%	5.3%	9.6%
Mens	Mens Accessories	1.3%	1.3%	2.3%	1.3%	2.1%	2.8%	1.5%	2.1%	-25.7%
Mens	Mens Apparel	13.7%	12.6%	9.6%	13.6%	12.3%	10.6%	12.3%	12.2%	0.7%
Mens	Mens Footwear	5.0%	4.1%	4.2%	5.9%	4.6%	5.3%	4.4%	5.1%	-13.2%
Mens	Mens Outerwear	2.5%	2.4%	3.2%	3.4%	2.8%	3.8%	2.6%	3.2%	-19.3%
Home	Home Accessories	4.3%	4.8%	5.6%	5.1%	4.8%	5.3%	4.8%	5.0%	-3.4%
Home	Home Textiles	20.6%	19.5%	10.8%	21.6%	18.4%	10.6%	18.0%	17.4%	3.9%
Home	Other	4.8%	3.6%	3.5%	4.5%	6.6%	3.7%	4.0%	5.4%	-27.0%
Sporting Equipment	Camping and Hiking	1.8%	2.2%	4.0%	1.5%	2.2%	3.7%	2.4%	2.4%	2.1%
Sporting Equipment	Fishing	0.7%	0.8%	1.9%	0.6%	0.8%	1.8%	1.0%	1.0%	4.3%
Sporting Equipment	General Sporting	1.3%	1.7%	3.9%	1.5%	1.9%	3.9%	2.0%	2.3%	-11.3%
Sporting Equipment	Hunting	0.8%	1.0%	1.7%	1.3%	1.6%	2.6%	1.1%	1.8%	-39.1%
Sporting Equipment	Winter Sports	0.6%	1.3%	1.3%	1.6%	2.1%	2.3%	1.1%	2.0%	-44.2%
Sporting Equipment	Other	1.1%	1.3%	4.6%	1.6%	1.5%	4.1%	1.9%	2.1%	-10.1%
Travel & School Bags	School Bags and Accessories	0.6%	1.0%	0.7%	0.8%	0.9%	1.2%	0.8%	0.9%	-13.9%
Travel & School Bags	Travel Bags and Accessories	2.5%	3.2%	2.8%	2.8%	3.4%	2.3%	2.9%	3.0%	-4.9%
Kids	Boys	0.7%	1.4%	1.1%	0.6%	1.3%	1.0%	1.1%	1.0%	5.9%
Kids	Girls	0.6%	1.6%	1.2%	0.8%	1.5%	1.4%	1.2%	1.3%	-7.6%
Kids	Kids Joint	0.9%	2.4%	2.6%	1.0%	2.2%	2.4%	2.0%	1.9%	1.1%
Signature Mens	Other	0.4%	0.4%	0.6%	0.2%	0.5%	0.7%	0.4%	0.5%	-7.1%
Signature Womens	Other	0.9%	1.3%	1.2%	0.5%	1.1%	1.2%	1.2%	1.0%	17.5%
Other	Gift Cards / Certificates	1.3%	0.5%	1.5%	1.6%	0.8%	2.0%	1.0%	1.3%	-25.9%
Other	Other	0.0%	0.2%	0.6%	0.2%	0.1%	0.7%	0.2%	0.2%	-12.2%

Again, there are gains in Womens Apparel, a slight gain in Mens Apparel, and a modest gain in Home Textiles.

Let's evaluate the tables for Womens Footwear – preferred by customers early in the customer life-cycle. Here's the table for 1x buyers with Womens Footwear preference.

Womens Footwear 1st Time Buyers - Subsequent Activity		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.6%	1.1%	2.3%	0.5%	1.2%	2.3%	1.2%	1.3%	-9.2%
Womens	Womens Apparel	21.8%	16.5%	13.6%	15.6%	13.3%	12.2%	17.4%	13.4%	29.5%
Womens	Womens Footwear	28.5%	24.2%	21.9%	30.9%	27.2%	18.6%	24.9%	26.0%	-4.3%
Womens	Womens Outerwear	10.6%	10.2%	9.4%	10.2%	10.1%	9.4%	10.2%	10.0%	2.2%
Mens	Mens Accessories	1.0%	1.2%	2.4%	1.1%	1.5%	2.6%	1.3%	1.6%	-19.5%
Mens	Mens Apparel	10.9%	10.1%	8.1%	10.3%	10.6%	8.6%	10.0%	10.2%	-1.6%
Mens	Mens Footwear	8.9%	11.2%	12.6%	14.2%	11.5%	12.3%	10.8%	12.1%	-10.8%
Mens	Mens Outerwear	2.5%	3.3%	4.1%	2.0%	2.7%	5.9%	3.2%	3.3%	-1.6%
Home	Home Accessories	2.4%	3.0%	2.3%	2.8%	3.1%	2.5%	2.8%	2.9%	-5.7%
Home	Home Textiles	3.1%	3.6%	0.7%	4.0%	4.4%	1.2%	3.0%	3.7%	-17.1%
Home	Other	0.8%	0.4%	0.5%	0.5%	0.2%	0.0%	0.5%	0.2%	137.6%
Sporting Equipment	Camping and Hiking	0.2%	1.3%	2.2%	0.4%	0.8%	3.1%	1.1%	1.2%	-8.9%
Sporting Equipment	Fishing	0.2%	0.4%	0.6%	0.1%	0.3%	0.6%	0.4%	0.4%	5.3%
Sporting Equipment	General Sporting	0.6%	1.2%	3.5%	0.6%	1.3%	2.8%	1.4%	1.5%	-8.2%
Sporting Equipment	Hunting	0.5%	1.0%	2.7%	0.6%	1.3%	1.1%	1.1%	1.1%	2.8%
Sporting Equipment	Winter Sports	0.9%	0.8%	0.1%	1.2%	1.5%	1.0%	0.7%	1.3%	-46.8%
Sporting Equipment	Other	0.3%	0.6%	0.3%	0.2%	0.9%	2.9%	0.5%	1.2%	-61.4%
Travel & School Bags	School Bags and Accessories	0.6%	1.8%	1.4%	0.9%	1.2%	2.5%	1.4%	1.4%	1.8%
Travel & School Bags	Travel Bags and Accessories	3.5%	4.8%	2.8%	2.6%	3.8%	2.7%	4.2%	3.4%	23.5%
Kids	Boys	0.3%	0.3%	0.6%	0.0%	0.3%	0.4%	0.4%	0.2%	57.0%
Kids	Girls	0.2%	0.2%	1.1%	0.0%	0.3%	0.7%	0.4%	0.3%	19.2%
Kids	Kids Joint	0.8%	1.7%	2.0%	0.5%	1.3%	2.2%	1.5%	1.3%	14.3%
Signature Mens	Other	0.2%	0.5%	1.1%	0.1%	0.1%	1.2%	0.5%	0.3%	55.4%
Signature Womens	Other	0.1%	0.3%	1.6%	0.2%	0.5%	1.6%	0.5%	0.6%	-28.3%
Other	Gift Cards / Certificates	0.2%	0.3%	1.2%	0.4%	0.7%	1.5%	0.4%	0.8%	-49.8%
Other	Other	0.1%	0.0%	0.9%	0.1%	0.0%	0.1%	0.2%	0.1%	235.9%

Here, you see a negative for Womens Footwear, but a positive for Womens Apparel.

Next, we have 16x+ buyers with Womens Footwear preference.

Womens Footwear Preference 16+ Buyers - Subsequent		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	1.4%	1.9%	4.0%	1.7%	2.0%	3.4%	2.2%	2.4%	-6.0%
Womens	Womens Apparel	20.5%	19.9%	15.7%	17.3%	17.5%	13.2%	19.1%	16.2%	17.7%
Womens	Womens Footwear	19.7%	16.4%	11.9%	19.3%	16.8%	11.8%	16.3%	15.9%	2.5%
Womens	Womens Outerwear	8.3%	8.8%	8.5%	11.4%	8.6%	8.3%	8.6%	9.1%	-5.9%
Mens	Mens Accessories	1.4%	1.6%	2.6%	1.4%	2.0%	2.6%	1.8%	2.1%	-12.2%
Mens	Mens Apparel	9.6%	8.7%	8.2%	8.8%	9.9%	9.9%	8.8%	9.7%	-8.6%
Mens	Mens Footwear	7.2%	6.2%	6.6%	7.4%	6.8%	6.6%	6.6%	6.9%	-4.0%
Mens	Mens Outerwear	2.6%	2.5%	3.6%	2.5%	2.6%	4.3%	2.8%	3.1%	-10.3%
Home	Home Accessories	3.6%	3.6%	3.0%	3.3%	3.9%	3.5%	3.4%	3.6%	-5.4%
Home	Home Textiles	6.2%	4.8%	3.3%	7.0%	5.2%	3.6%	4.8%	5.1%	-5.8%
Home	Other	2.2%	2.8%	1.0%	2.5%	1.2%	1.4%	2.2%	1.5%	42.7%
Sporting Equipment	Camping and Hiking	1.6%	2.3%	3.6%	1.5%	2.7%	3.6%	2.4%	2.7%	-10.4%
Sporting Equipment	Fishing	0.7%	0.8%	1.3%	0.6%	0.8%	0.8%	0.9%	0.8%	17.5%
Sporting Equipment	General Sporting	1.1%	2.1%	4.7%	2.0%	2.5%	3.5%	2.5%	2.7%	-10.1%
Sporting Equipment	Hunting	1.5%	1.5%	4.2%	0.9%	1.4%	2.7%	2.2%	1.7%	29.3%
Sporting Equipment	Winter Sports	2.2%	1.9%	1.9%	2.1%	2.4%	1.6%	2.0%	2.1%	-5.6%
Sporting Equipment	Other	0.8%	1.2%	2.5%	0.9%	0.8%	4.4%	1.4%	1.9%	-26.9%
Travel & School Bags	School Bags and Accessories	1.0%	1.2%	1.2%	1.1%	1.4%	1.5%	1.2%	1.4%	-15.3%
Travel & School Bags	Travel Bags and Accessories	2.6%	3.8%	2.9%	3.0%	4.0%	2.8%	3.2%	3.4%	-4.5%
Kids	Boys	0.8%	1.1%	0.9%	0.5%	0.8%	1.0%	1.0%	0.8%	25.6%
Kids	Girls	1.0%	1.4%	1.5%	0.8%	1.2%	1.3%	1.3%	1.1%	15.4%
Kids	Kids Joint	1.6%	1.9%	2.5%	1.2%	2.5%	2.2%	1.9%	2.1%	-8.6%
Signature Mens	Other	0.7%	0.5%	0.6%	0.2%	0.5%	0.9%	0.6%	0.5%	10.1%
Signature Womens	Other	0.8%	1.9%	1.4%	1.0%	1.6%	1.9%	1.5%	1.6%	-7.3%
Other	Gift Cards / Certificates	0.7%	1.0%	2.1%	1.2%	0.6%	3.1%	1.2%	1.5%	-19.7%
Other	Other	0.1%	0.2%	0.3%	0.1%	0.3%	0.2%	0.2%	0.2%	2.8%

There's a modest gain in Womens Footwear, but a healthy gain in Womens Apparel. Mens Apparel has a significant negative.

These two tables suggest that the catalog actually pushes demand away from Womens Footwear (modestly, of course) and into Womens Apparel.

Here's Travel / School Bag preference, 1x buyers first.

Travel/School Bags Preference 1x Buyers - Subsequent		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.5%	0.6%	2.4%	0.8%	0.6%	1.9%	0.8%	0.9%	-12.2%
Womens	Womens Apparel	13.5%	10.4%	8.9%	8.4%	9.6%	9.3%	10.8%	9.4%	14.7%
Womens	Womens Footwear	8.0%	8.7%	9.0%	8.3%	9.9%	10.0%	8.6%	9.7%	-11.3%
Womens	Womens Outerwear	5.9%	6.7%	8.2%	5.6%	5.6%	8.0%	6.7%	6.1%	10.9%
Mens	Mens Accessories	1.4%	0.9%	2.6%	0.8%	1.4%	2.3%	1.2%	1.5%	-15.1%
Mens	Mens Apparel	12.7%	10.3%	7.3%	13.5%	10.3%	9.2%	10.4%	10.5%	-1.4%
Mens	Mens Footwear	7.1%	6.2%	8.4%	7.9%	7.2%	9.3%	6.7%	7.7%	-13.6%
Mens	Mens Outerwear	4.3%	4.2%	6.3%	5.2%	3.3%	5.5%	4.5%	4.0%	13.4%
Home	Home Accessories	3.9%	2.6%	2.1%	2.5%	3.3%	3.2%	2.8%	3.2%	-12.7%
Home	Home Textiles	4.9%	3.8%	1.2%	5.2%	3.1%	2.1%	3.7%	3.2%	14.4%
Home	Other	1.5%	1.0%	0.7%	0.6%	1.3%	0.0%	1.0%	0.9%	10.6%
Sporting Equipment	Camping and Hiking	1.4%	2.1%	3.1%	1.5%	2.0%	3.3%	2.1%	2.2%	-3.9%
Sporting Equipment	Fishing	0.1%	0.9%	0.8%	0.8%	0.6%	1.1%	0.7%	0.7%	-1.7%
Sporting Equipment	General Sporting	0.5%	0.9%	4.2%	1.5%	1.8%	4.2%	1.2%	2.2%	-43.5%
Sporting Equipment	Hunting	0.6%	1.3%	1.1%	0.6%	1.4%	2.4%	1.2%	1.5%	-20.8%
Sporting Equipment	Winter Sports	0.4%	1.3%	2.1%	2.5%	1.7%	0.6%	1.2%	1.6%	-23.6%
Sporting Equipment	Other	0.5%	2.1%	1.8%	0.1%	0.6%	0.9%	1.8%	0.6%	195.2%
Travel & School Bags	School Bags and Accessories	12.1%	14.1%	6.3%	14.2%	15.4%	9.9%	12.7%	14.1%	-10.1%
Travel & School Bags	Travel Bags and Accessories	17.2%	15.7%	6.8%	15.9%	14.7%	6.2%	14.8%	13.1%	12.7%
Kids	Boys	0.8%	1.1%	2.5%	0.7%	1.1%	2.4%	1.2%	1.3%	-10.1%
Kids	Girls	0.6%	1.2%	2.0%	0.3%	1.2%	1.9%	1.2%	1.2%	-2.3%
Kids	Kids Joint	1.0%	2.2%	4.4%	1.0%	2.5%	3.7%	2.3%	2.5%	-8.7%
Signature Mens	Other	0.1%	0.3%	0.3%	0.2%	0.3%	0.9%	0.3%	0.4%	-30.6%
Signature Womens	Other	0.5%	1.2%	1.1%	0.4%	0.5%	0.8%	1.0%	0.6%	86.0%
Other	Gift Cards / Certificates	0.6%	0.3%	1.5%	1.5%	0.6%	1.1%	0.5%	0.8%	-31.1%
Other	Other	0.1%	0.0%	4.8%	0.0%	0.3%	0.1%	0.7%	0.2%	272.7%

Travel / School Bags are about a net zero gain, while Womens Apparel shows gains.

Here's the same table for 16x+ buyers with a Travel / School Bags preference.

Travel/School Bags Preference 16+ Buyers - Subsequent		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.8%	1.1%	2.0%	0.3%	0.9%	2.1%	1.2%	1.0%	14.3%
Womens	Womens Apparel	12.8%	12.8%	13.6%	10.0%	12.9%	12.0%	12.9%	12.1%	6.6%
Womens	Womens Footwear	5.9%	6.4%	6.0%	5.7%	5.8%	6.7%	6.2%	6.0%	3.5%
Womens	Womens Outerwear	5.7%	5.7%	6.1%	6.9%	5.0%	7.3%	5.8%	5.9%	-1.3%
Mens	Mens Accessories	1.2%	1.3%	3.0%	1.0%	2.1%	2.8%	1.6%	2.0%	-19.9%
Mens	Mens Apparel	10.6%	11.2%	12.8%	10.5%	10.5%	11.3%	11.3%	10.7%	6.3%
Mens	Mens Footwear	7.3%	4.5%	5.7%	6.1%	5.3%	5.6%	5.4%	5.5%	-2.0%
Mens	Mens Outerwear	4.0%	3.1%	4.7%	3.6%	2.6%	5.3%	3.7%	3.4%	6.5%
Home	Home Accessories	3.7%	4.1%	3.0%	3.8%	5.4%	3.4%	3.8%	4.6%	-18.2%
Home	Home Textiles	5.1%	7.9%	3.1%	10.6%	6.3%	3.5%	6.3%	6.5%	-3.6%
Home	Other	3.8%	3.3%	1.4%	3.7%	3.6%	1.3%	3.0%	3.1%	-1.7%
Sporting Equipment	Camping and Hiking	3.0%	3.2%	4.2%	3.2%	3.2%	4.9%	3.4%	3.6%	-6.9%
Sporting Equipment	Fishing	0.9%	0.9%	1.8%	0.5%	0.8%	1.5%	1.1%	0.9%	15.1%
Sporting Equipment	General Sporting	1.5%	2.7%	5.6%	2.7%	2.8%	5.3%	3.0%	3.3%	-11.1%
Sporting Equipment	Hunting	0.9%	1.3%	2.1%	1.5%	1.7%	1.5%	1.4%	1.6%	-17.5%
Sporting Equipment	Winter Sports	1.1%	1.6%	1.2%	2.9%	2.7%	2.3%	1.4%	2.6%	-47.5%
Sporting Equipment	Other	2.2%	1.1%	2.8%	2.9%	1.1%	4.6%	1.7%	2.2%	-25.2%
Travel & School Bags	School Bags and Accessories	2.1%	3.0%	2.6%	3.2%	2.7%	3.0%	2.7%	2.9%	-5.7%
Travel & School Bags	Travel Bags and Accessories	20.3%	16.1%	7.1%	13.7%	15.3%	5.2%	15.4%	12.6%	21.5%
Kids	Boys	1.3%	1.7%	1.8%	1.1%	1.6%	1.6%	1.6%	1.5%	8.7%
Kids	Girls	0.9%	1.9%	1.4%	1.1%	1.7%	1.5%	1.5%	1.5%	1.2%
Kids	Kids Joint	1.8%	3.5%	3.1%	1.9%	3.5%	3.7%	3.0%	3.2%	-7.1%
Signature Mens	Other	0.5%	0.4%	0.7%	0.3%	0.5%	0.9%	0.5%	0.5%	-4.1%
Signature Womens	Other	0.7%	0.8%	1.6%	1.6%	0.8%	0.7%	0.9%	0.9%	-3.1%
Other	Gift Cards / Certificates	1.9%	0.4%	2.4%	1.1%	1.0%	1.8%	1.2%	1.2%	-1.2%
Other	Other	0.0%	0.1%	0.2%	0.1%	0.3%	0.3%	0.1%	0.3%	-59.3%

Here, there are gains in Travel / School Bags, and there are gains in Womens Apparel as well.

Let's look at two more sets of tables – for Sporting Equipment. First, for 1x buyers.

Sporting Equipment Preference 1x Buyers - Subsequent		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.4%	1.0%	2.2%	0.9%	0.9%	1.5%	1.2%	1.1%	6.4%
Womens	Womens Apparel	12.9%	11.1%	10.4%	12.5%	8.9%	8.0%	11.3%	9.1%	24.1%
Womens	Womens Footwear	6.7%	8.1%	7.0%	7.7%	8.3%	7.1%	7.6%	7.9%	-4.0%
Womens	Womens Outerwear	4.7%	6.6%	7.0%	6.7%	7.0%	5.8%	6.3%	6.6%	-4.6%
Mens	Mens Accessories	1.2%	1.5%	3.2%	2.2%	2.1%	3.0%	1.8%	2.4%	-21.9%
Mens	Mens Apparel	11.5%	15.1%	10.5%	11.7%	13.8%	10.4%	13.3%	12.5%	6.4%
Mens	Mens Footwear	7.6%	6.7%	9.1%	8.8%	8.7%	8.1%	7.4%	8.5%	-13.0%
Mens	Mens Outerwear	2.9%	4.3%	6.4%	3.7%	5.1%	5.5%	4.5%	5.0%	-9.9%
Home	Home Accessories	2.9%	3.8%	2.4%	3.3%	4.1%	2.7%	3.3%	3.6%	-9.1%
Home	Home Textiles	4.4%	3.2%	0.8%	4.1%	3.3%	0.6%	2.8%	2.6%	9.5%
Home	Other	2.6%	0.7%	1.0%	2.6%	1.1%	0.0%	1.1%	0.9%	17.1%
Sporting Equipment	Camping and Hiking	4.6%	4.4%	6.9%	4.2%	3.4%	6.7%	5.0%	4.5%	11.6%
Sporting Equipment	Fishing	5.1%	3.2%	3.7%	5.1%	3.3%	3.9%	3.7%	3.7%	-0.1%
Sporting Equipment	General Sporting	4.4%	4.1%	5.6%	3.9%	3.3%	7.5%	4.5%	4.6%	-2.0%
Sporting Equipment	Hunting	10.1%	6.5%	4.8%	10.4%	6.6%	3.9%	6.8%	6.3%	8.4%
Sporting Equipment	Winter Sports	3.9%	2.9%	2.0%	5.5%	4.1%	2.2%	2.9%	3.7%	-22.9%
Sporting Equipment	Other	3.9%	2.1%	5.1%	0.3%	3.0%	6.5%	3.1%	3.7%	-14.2%
Travel & School Bags	School Bags and Accessories	1.1%	2.2%	1.6%	0.9%	2.2%	2.5%	1.9%	2.1%	-12.9%
Travel & School Bags	Travel Bags and Accessories	5.8%	6.6%	2.9%	3.2%	5.2%	3.2%	5.6%	4.4%	28.6%
Kids	Boys	0.3%	1.1%	0.5%	0.0%	1.0%	1.0%	0.8%	0.9%	-9.3%
Kids	Girls	0.3%	0.8%	1.0%	0.3%	0.8%	1.4%	0.8%	0.9%	-11.5%
Kids	Kids Joint	0.8%	2.4%	2.2%	0.8%	1.9%	3.2%	2.0%	2.1%	-4.6%
Signature Mens	Other	0.2%	0.6%	0.5%	0.0%	0.6%	0.8%	0.5%	0.6%	-2.1%
Signature Womens	Other	0.1%	0.6%	1.0%	0.4%	0.4%	0.7%	0.6%	0.5%	17.4%
Other	Gift Cards / Certificates	0.5%	0.3%	2.0%	0.5%	0.8%	2.2%	0.8%	1.2%	-35.0%
Other	Other	0.9%	0.2%	0.2%	0.1%	0.2%	1.6%	0.3%	0.6%	-51.2%

Here, we observe a modest decline in share for Sporting Equipment, but a gain in Womens Apparel.

Now, we observe the 16x+ buyer table with Sporting Equipment preference.

Travel/School Bags Preference 16+ Buyers - Subsequent		%PhnCat	%WebCat	%RetCat	%PhnNon	%WebNon	%RetNon	% Cat	% Non	Change
Womens	Womens Accessories	0.8%	1.1%	2.0%	0.3%	0.9%	2.1%	1.2%	1.0%	14.3%
Womens	Womens Apparel	12.8%	12.8%	13.6%	10.0%	12.9%	12.0%	12.9%	12.1%	6.6%
Womens	Womens Footwear	5.9%	6.4%	6.0%	5.7%	5.8%	6.7%	6.2%	6.0%	3.5%
Womens	Womens Outerwear	5.7%	5.7%	6.1%	6.9%	5.0%	7.3%	5.8%	5.9%	-1.3%
Mens	Mens Accessories	1.2%	1.3%	3.0%	1.0%	2.1%	2.8%	1.6%	2.0%	-19.9%
Mens	Mens Apparel	10.6%	11.2%	12.8%	10.5%	10.5%	11.3%	11.3%	10.7%	6.3%
Mens	Mens Footwear	7.3%	4.5%	5.7%	6.1%	5.3%	5.6%	5.4%	5.5%	-2.0%
Mens	Mens Outerwear	4.0%	3.1%	4.7%	3.6%	2.6%	5.3%	3.7%	3.4%	6.5%
Home	Home Accessories	3.7%	4.1%	3.0%	3.8%	5.4%	3.4%	3.8%	4.6%	-18.2%
Home	Home Textiles	5.1%	7.9%	3.1%	10.6%	6.3%	3.5%	6.3%	6.5%	-3.6%
Home	Other	3.8%	3.3%	1.4%	3.7%	3.6%	1.3%	3.0%	3.1%	-1.7%
Sporting Equipment	Camping and Hiking	3.0%	3.2%	4.2%	3.2%	3.2%	4.9%	3.4%	3.6%	-6.9%
Sporting Equipment	Fishing	0.9%	0.9%	1.8%	0.5%	0.8%	1.5%	1.1%	0.9%	15.1%
Sporting Equipment	General Sporting	1.5%	2.7%	5.6%	2.7%	2.8%	5.3%	3.0%	3.3%	-11.1%
Sporting Equipment	Hunting	0.9%	1.3%	2.1%	1.5%	1.7%	1.5%	1.4%	1.6%	-17.5%
Sporting Equipment	Winter Sports	1.1%	1.6%	1.2%	2.9%	2.7%	2.3%	1.4%	2.6%	-47.5%
Sporting Equipment	Other	2.2%	1.1%	2.8%	2.9%	1.1%	4.6%	1.7%	2.2%	-25.2%
Travel & School Bags	School Bags and Accessories	2.1%	3.0%	2.6%	3.2%	2.7%	3.0%	2.7%	2.9%	-5.7%
Travel & School Bags	Travel Bags and Accessories	20.3%	16.1%	7.1%	13.7%	15.3%	5.2%	15.4%	12.6%	21.5%
Kids	Boys	1.3%	1.7%	1.8%	1.1%	1.6%	1.6%	1.6%	1.5%	8.7%
Kids	Girls	0.9%	1.9%	1.4%	1.1%	1.7%	1.5%	1.5%	1.5%	1.2%
Kids	Kids Joint	1.8%	3.5%	3.1%	1.9%	3.5%	3.7%	3.0%	3.2%	-7.1%
Signature Mens	Other	0.5%	0.4%	0.7%	0.3%	0.5%	0.9%	0.5%	0.5%	-4.1%
Signature Womens	Other	0.7%	0.8%	1.6%	1.6%	0.8%	0.7%	0.9%	0.9%	-3.1%
Other	Gift Cards / Certificates	1.9%	0.4%	2.4%	1.1%	1.0%	1.8%	1.2%	1.2%	-1.2%
Other	Other	0.0%	0.1%	0.2%	0.1%	0.3%	0.3%	0.1%	0.3%	-59.3%

Overall, Sporting Equipment loses share on catalog days vs. non-catalog days – but again, we see the gain in Womens Apparel.

I could run these tables forever, and the theme would be consistent. Womens Apparel gains share on catalog-centric days, and loses share on all other days. In most cases, all other categories lose share on catalog days, and gain share on non-catalog days.

The signature is strong, and the signature is consistent. Sometimes, the mailings of catalogs help groups if the customer previously purchased from that group, sometimes not. Almost uniformly, across the board, Womens Apparel gets a larger share of volume on “catalog days”, and a lower share of volume on “other days”.

Catalogs appear to influence other channels as well – here is the distribution of email demand on “catalog days” and “other days”.

Division	% Cat	% Non	Change
Wmns	41.5%	38.2%	8.6%
Mens	32.1%	34.2%	-6.1%
Home	10.2%	10.3%	-1.1%
Spt Equip	6.7%	7.8%	-14.4%
TrvSchBg	4.3%	4.5%	-5.3%
Kids	3.7%	3.3%	13.2%
Signature	1.1%	1.1%	3.9%
Wmn Oth	13.6%	14.4%	-5.1%
Wmn App	27.9%	23.9%	16.9%

Here’s the same table for Natural Search.

Division	% Cat	% Non	Change
Wmns	35.4%	33.4%	5.9%
Mens	31.8%	32.9%	-3.4%
Home	10.9%	11.1%	-1.4%
Spt Equip	7.8%	8.7%	-10.4%
TrvSchBg	7.3%	7.2%	1.0%
Kids	4.0%	3.8%	6.1%
Signature	1.7%	1.4%	17.2%
Wmn Oth	16.5%	17.0%	-3.3%
Wmn App	18.9%	16.4%	15.4%

And here’s the same table for Paid Search.

Division	% Cat	% Non	Change
Wmns	35.7%	33.2%	7.5%
Mens	32.3%	33.6%	-3.8%
Home	10.7%	11.1%	-3.0%
Spt Equip	8.4%	9.5%	-11.2%
TrvSchBg	6.9%	6.8%	0.7%
Kids	3.9%	3.6%	6.4%
Signature	1.1%	1.0%	14.2%
Wmn Oth	15.3%	16.0%	-4.3%
Wmn App	20.4%	17.2%	18.5%

On "catalog days", email / natural search / paid search volume shifts from other categories to Womens Apparel. The catalog causes a different merchandise assortment to be searched.

The point of repeating this message, often, is so that you can understand how catalogs influence customer demand.

Over time, customers migrate to Womens Apparel and Mens Apparel. Undoubtedly, the catalog plays a role in shifting demand to Womens Apparel over time. We can clearly see that on "catalog days", demand shifts to Womens Apparel. As this pattern repeats, week-after-week, month-after-month, year-after-year, it makes sense that the catalog marketing strategy influences merchandise productivity, and more important, influences what "L.L. Bean" is and becomes. Phone transactions are a direct reflection of the catalog marketing strategy. Online transactions are a hybrid of all L.L. Bean activities. And retail transactions are less influenced by catalog marketing – because the share of demand by merchandise group is fundamentally different in retail than in the phone channel, we might surmise that retail is, in some ways, a reflection of what L.L. Bean might actually "be" without a catalog. That thought, to me, is rather tantalizing.

The Catalog as a Profit Driver

I have worked on more than 160 projects since founding my own consulting business. I can honestly say that the folks who make circulation decisions for L.L. Bean are among the best I've observed. The data clearly indicate that there do not appear to be any bad decisions being made. Better yet, the decisions that are being made align closely with the methodology I use to make circulation decisions for my clients, which tells me

that L.L. Bean professionals are using a combination of mail/holdout tests and are potentially using some level of inter-book interactivity to make decisions.

Please pass along serious praise to the modeling team and the team physically planning catalog mailings and selecting names for mailings – they are doing a fantastic job, compared to all the other catalogers I work with.

Let's look at a series of grids I created for your business. The grids analyze combinations of channel-based attributes, and then measure what I call "catalog driven demand", catalogs mailed, and "catalog driven profit", measured as catalog driven demand * 0.39 – annual ad cost.

Here's how I calculate "catalog driven demand":

- 85% of phone demand is attributed to the catalog.
- 50% of online demand is attributed to the catalog.
- 10% of retail demand is attributed to the catalog.

I do not know what your actual percentages are … only your mail/holdout tests can give us the real numbers. I am using percentages that are averages across my entire client base, based on their mail/holdout test results. It is quite likely I am overstating the impact on retail, though you do appear to have significant crossover between retail buyers and direct-channel buyers, so I am ok with the higher percentage for now.

FYI, in the upcoming grids, I capped future phone, online, and retail demand at $2,000, to remove the influence of wildly unusual orders.

I did not take the online percentages any further – in many projects, I have different percentages based on search / affiliates / email marketing etc. In your case, you are doing such a good job that I am confident you are using some level of mail/holdout testing to estimate incremental demand driven by catalogs.

Here is a grid for phone recency, and online recency.

Catalog Driven Demand					Phone Recency				
	0 to 1	2 to 3	4 to 6	7 to 12	13 to 18	19 to 24	25 to 36	37 to 48	No
Online Recency	Month	Months	Months	Months	Months	Months	Months	Months	Recency
0 to 1 Month	$265.83	$248.15	$275.69	$257.94	$205.34	$213.27	$180.64	$164.22	$90.43
2 to 3 Months	$229.66	$145.67	$188.79	$174.87	$126.15	$136.93	$107.86	$100.18	$48.36
4 to 6 Months	$285.21	$168.51	$111.25	$139.71	$104.45	$107.99	$90.59	$82.62	$44.89
7 to 12 Months	$281.38	$192.77	$143.64	$81.31	$84.69	$82.25	$71.10	$63.11	$33.73
13 to 18 Months	$243.20	$143.23	$123.34	$91.72	$46.30	$59.02	$50.26	$44.09	$22.13
19 to 24 Months	$254.45	$159.33	$116.29	$90.40	$58.69	$34.42	$38.96	$35.56	$18.30
25 to 36 Months	$220.95	$133.96	$109.03	$81.21	$52.98	$41.98	$25.72	$28.18	$13.52
37 to 48 Months	$224.53	$129.21	$103.45	$77.79	$48.96	$41.06	$27.76	$16.13	$9.58
No Recency	$206.81	$110.17	$89.67	$68.52	$35.82	$29.00	$19.84	$12.63	$11.79

Catalogs Mailed, Annually					Phone Recency				
	0 to 1	2 to 3	4 to 6	7 to 12	13 to 18	19 to 24	25 to 36	37 to 48	No
Online Recency	Month	Months	Months	Months	Months	Months	Months	Months	Recency
0 to 1 Month	25.1	25.9	28.0	27.5	24.9	25.5	23.7	22.2	15.7
2 to 3 Months	24.5	21.2	25.5	25.0	20.8	21.9	19.4	18.1	11.4
4 to 6 Months	27.1	23.0	20.3	23.3	19.7	20.3	18.4	17.2	12.0
7 to 12 Months	26.3	24.2	21.9	18.2	18.9	18.1	17.2	15.7	11.0
13 to 18 Months	24.8	21.1	21.1	19.6	15.6	18.4	16.6	15.2	10.1
19 to 24 Months	25.0	21.5	20.4	18.1	16.9	13.7	15.2	13.9	9.3
25 to 36 Months	23.8	19.6	19.2	17.8	16.0	14.7	11.1	11.7	7.5
37 to 48 Months	23.0	18.6	18.6	16.6	14.3	13.6	11.1	8.0	5.9
No Recency	21.5	16.5	16.6	15.3	11.5	11.4	8.8	6.4	5.3

Estimated Catalog Driven Profit, Annual					Phone Recency				
	0 to 1	2 to 3	4 to 6	7 to 12	13 to 18	19 to 24	25 to 36	37 to 48	No
Online Recency	Month	Months	Months	Months	Months	Months	Months	Months	Recency
0 to 1 Month	$90.73	$83.46	$93.08	$86.46	$67.37	$70.18	$58.40	$52.76	$27.30
2 to 3 Months	$76.93	$45.91	$60.48	$55.34	$38.61	$42.28	$32.20	$29.92	$13.10
4 to 6 Months	$97.22	$53.86	$32.94	$42.51	$30.74	$31.84	$26.00	$23.55	$11.49
7 to 12 Months	$96.08	$62.63	$44.66	$22.40	$23.39	$22.89	$19.04	$16.69	$7.65
13 to 18 Months	$81.99	$44.96	$37.16	$25.65	$10.18	$13.61	$11.20	$9.59	$3.62
19 to 24 Months	$86.19	$51.00	$34.74	$25.90	$14.22	$6.67	$7.64	$7.05	$2.72
25 to 36 Months	$73.79	$42.10	$32.51	$22.52	$12.52	$9.06	$4.74	$5.45	$1.81
37 to 48 Months	$75.59	$40.70	$30.63	$21.81	$11.87	$9.28	$5.56	$2.78	$1.20
No Recency	$69.33	$34.29	$26.21	$18.76	$8.10	$5.69	$3.57	$2.12	$2.16

How can I tell that you are using some level of mail/holdout testing to make decisions? Look at the catalogs mailed by "no phone recency" … you mail 15.7 catalogs a year to 0-1 month online buyers with no phone recency. Now look at the "no online recency" cell … you mail 21.5 catalogs a year to 0-1 month phone buyers with no online recency.

Consistently, across the board, you mail fewer catalogs to online buyers than you mail to phone buyers, strongly suggesting that some element of mail/holdout testing is being used … and those tests would show that online demand happens when catalogs are not mailed.

Look down the 0-1 month phone recency column. Profit, according to my estimations, is relatively equal for all 12 month buyers. This is the signature of a customer file that can support even more annual mailings.

Here's the same grid, but for online and retail buyers.

Catalog Driven Demand					**Retail Recency**				
	0 to 1	2 to 3	4 to 6	7 to 12	13 to 18	19 to 24	25 to 36	37 to 48	No
Online Recency	Month	Months	Months	Months	Months	Months	Months	Months	Recency
0 to 1 Month	$298.36	$233.52	$255.91	$238.27	$191.57	$214.00	$183.03	$179.29	$123.56
2 to 3 Months	$197.85	$150.28	$163.66	$148.63	$119.33	$127.78	$110.61	$104.09	$62.60
4 to 6 Months	$166.45	$133.29	$117.45	$127.50	$105.13	$105.74	$94.66	$92.93	$58.39
7 to 12 Months	$154.31	$118.83	$113.21	$95.92	$88.44	$84.86	$78.20	$72.86	$44.95
13 to 18 Months	$121.08	$90.79	$84.31	$75.12	$54.25	$60.23	$52.50	$51.62	$29.29
19 to 24 Months	$120.23	$87.74	$84.19	$67.51	$56.53	$44.54	$45.10	$46.86	$25.43
25 to 36 Months	$100.87	$72.10	$70.67	$58.55	$44.71	$41.54	$34.78	$33.66	$18.85
37 to 48 Months	$88.38	$64.55	$62.31	$50.37	$39.42	$39.75	$30.60	$23.49	$14.08
No Recency	$75.02	$51.49	$50.06	$40.21	$28.89	$28.42	$22.81	$18.56	$50.96
Catalogs Mailed, Annually					**Retail Recency**				
	0 to 1	2 to 3	4 to 6	7 to 12	13 to 18	19 to 24	25 to 36	37 to 48	No
Online Recency	Month	Months	Months	Months	Months	Months	Months	Months	Recency
0 to 1 Month	27.4	26.6	27.7	26.9	24.8	24.9	23.0	22.1	18.0
2 to 3 Months	25.2	22.7	24.2	23.1	20.6	20.4	18.9	17.2	12.8
4 to 6 Months	24.6	22.7	21.3	22.1	20.0	19.5	17.8	16.9	13.4
7 to 12 Months	23.2	21.5	20.9	19.0	18.5	17.8	16.8	15.6	12.3
13 to 18 Months	20.2	18.2	17.8	16.5	15.9	16.5	15.7	14.9	11.2
19 to 24 Months	19.7	17.9	16.5	15.5	14.9	13.8	14.5	13.9	10.3
25 to 36 Months	17.8	15.8	14.9	13.5	12.7	12.2	11.4	11.8	8.3
37 to 48 Months	15.5	13.7	13.2	11.6	10.9	10.5	9.5	8.8	6.6
No Recency	12.9	10.7	10.2	8.6	7.5	7.3	6.5	5.6	11.7
Estimated Catalog Driven Profit, Annual					**Retail Recency**				
	0 to 1	2 to 3	4 to 6	7 to 12	13 to 18	19 to 24	25 to 36	37 to 48	No
Online Recency	Month	Months	Months	Months	Months	Months	Months	Months	Recency
0 to 1 Month	$102.17	$77.31	$85.42	$79.02	$62.11	$70.83	$59.70	$58.74	$39.07
2 to 3 Months	$64.14	$46.83	$51.28	$46.03	$36.11	$39.51	$33.60	$31.91	$17.92
4 to 6 Months	$52.18	$40.21	$34.73	$38.28	$30.90	$31.43	$27.96	$27.74	$16.03
7 to 12 Months	$48.14	$35.22	$33.29	$27.66	$25.23	$24.23	$22.15	$20.67	$11.36
13 to 18 Months	$36.75	$26.01	$23.69	$20.88	$13.24	$15.23	$12.76	$12.82	$5.85
19 to 24 Months	$36.65	$24.96	$24.30	$18.46	$14.61	$10.50	$10.48	$11.53	$4.94
25 to 36 Months	$30.11	$19.95	$19.87	$16.06	$11.21	$10.18	$8.11	$7.58	$3.45
37 to 48 Months	$26.48	$18.13	$17.56	$13.90	$10.08	$10.39	$7.49	$5.19	$2.58
No Recency	$22.64	$14.61	$14.29	$11.41	$7.66	$7.59	$5.89	$4.69	$13.99

Here, the profit numbers appear reasonably optimized across online recency, but profit is somewhat equal among 2-18 month retail recency buyers with a twelve-month online purchase. This can happen if the mailing strategy is not optimal, or it can happen if my assumptions about online/retail catalog-driven demand are incorrect.

Again, I can tell that mail/holdout testing is being used. 0-1 Month Online Recency coupled with No Retail Recency yields 18.0 annual catalogs … whereas No Online Recency coupled with 0-1 Month Retail Recency yields 12.9 annual catalogs. My instinct tells me that you believe retail transactions are more catalog driven than I typically assume. I have clients very similar to you, and their mail/holdout testing shows that retail-only buyers should probably be mailed quarterly (within the twelve month file). You mail customers far more often.

Let's combine phone/online, and then within your twelve-month file, look at the number of mailings by direct frequency and retail frequency (four years of purchase history are used).

Catalog Driven Demand					Retail Purchases				
	0	1	2	3	4	5	6 to 10	11 to 15	16+
Direct Purchases	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders
No Purchases		$10.80	$16.18	$20.75	$23.55	$28.61	$35.35	$44.77	$70.25
1 Purchase	$17.52	$25.27	$31.12	$34.66	$39.98	$40.81	$50.18	$64.54	$89.04
2 Purchases	$32.08	$38.45	$44.71	$47.06	$53.39	$54.05	$63.35	$81.14	$104.58
3 Purchases	$45.54	$51.19	$57.89	$61.05	$65.12	$64.37	$77.52	$91.80	$126.96
4 Purchases	$58.88	$67.11	$69.73	$74.77	$80.93	$82.01	$91.98	$113.97	$137.50
5 Purchases	$73.07	$78.57	$79.91	$82.04	$88.89	$95.61	$106.80	$118.30	$151.19
6 to 10 Purchases	$107.21	$114.94	$119.99	$126.08	$129.61	$133.69	$142.50	$159.21	$201.86
11 to 15 Purchases	$174.26	$183.26	$186.40	$185.73	$195.18	$204.93	$207.69	$233.44	$287.10
16+ Purchases	$327.98	$350.06	$351.94	$357.44	$366.90	$367.31	$381.64	$413.23	$532.45
Catalogs Mailed, Annually					**Retail Purchases**				
	0	1	2	3	4	5	6 to 10	11 to 15	16+
Direct Purchases	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders
No Purchases		4.2	6.8	7.8	8.8	10.0	12.3	15.6	19.9
1 Purchase	6.4	8.6	9.4	10.4	11.5	12.5	15.0	18.8	21.8
2 Purchases	10.2	11.1	12.2	13.3	14.0	15.2	17.5	20.9	23.8
3 Purchases	12.9	13.6	14.4	15.4	16.1	17.3	19.4	22.6	25.6
4 Purchases	15.1	15.6	16.5	17.5	18.3	19.5	21.0	24.5	26.6
5 Purchases	17.1	17.3	18.1	18.6	19.8	20.8	22.6	25.8	28.1
6 to 10 Purchases	20.7	21.3	22.0	22.7	23.7	23.8	25.5	27.8	29.8
11 to 15 Purchases	25.4	25.9	26.7	27.1	27.6	28.2	29.1	30.5	31.7
16+ Purchases	29.8	30.8	31.1	31.7	32.1	32.1	32.9	33.6	33.1
Estimated Catalog Driven Profit, Annual					**Retail Purchases**				
	0	1	2	3	4	5	6 to 10	11 to 15	16+
Direct Purchases	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders
No Purchases		$2.20	$3.09	$4.30	$4.81	$6.11	$7.46	$9.28	$16.98
1 Purchase	$3.59	$5.61	$7.42	$8.27	$9.75	$9.51	$11.78	$15.36	$23.40
2 Purchases	$7.35	$9.38	$11.23	$11.54	$13.60	$13.23	$15.62	$20.71	$28.38
3 Purchases	$11.20	$13.05	$15.20	$15.89	$17.09	$16.14	$20.14	$24.01	$36.22
4 Purchases	$15.24	$18.17	$18.75	$20.13	$22.12	$21.84	$24.96	$31.70	$39.85
5 Purchases	$19.72	$21.75	$21.86	$22.41	$24.41	$26.51	$29.90	$32.76	$44.40
6 to 10 Purchases	$31.14	$33.90	$35.46	$37.44	$38.29	$39.82	$42.37	$47.70	$63.34
11 to 15 Purchases	$54.91	$58.16	$58.99	$58.50	$61.88	$65.38	$65.96	$75.27	$95.63
16+ Purchases	$112.60	$120.73	$121.29	$123.10	$126.57	$126.71	$131.88	$143.82	$190.60

Reading across the table, and reading down the table, we can see the clear importance of purchase frequency in the modeling structure you use. The profit numbers in this grid align so closely with what I would anticipate in my own modeling structure that I cannot help but conclude the following:

- You use mail/holdout tests to determine incremental demand generated by catalogs – and if you do not use mail/holdout tests, then you are doing something that simulates mail/holdout tests better than anything I've seen in the vendor community.
- You weight phone transactions heavily.

- You weight online transactions modestly.
- You weight retail transactions marginally.
- Given that 37-48 month buyers appear to get at least a quarterly catalog, on average, you either use very old transactions (i.e. 5-15 years ago or longer) in your modeling strategy, or you force-mail older customers in an effort to reactivate them.

Let's look at the same table, but for all customers with 13+ months of recency. I only included cells where I had at least 5,000 customers (1,000 customers in the 20% sample I used to craft the grids).

Catalog Driven Demand					**Retail Purchases**				
	0	1	2	3	4	5	6 to 10	11 to 15	16+
Direct Purchases	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders
No Purchases		$7.27	$10.76	$12.91	$14.72	$16.06	$19.67		
1 Purchase	$10.17	$16.87	$20.50	$23.60	$28.07		$28.96		
2 Purchases	$17.99	$25.83	$26.43	$29.41	$35.55				
3 Purchases	$26.71	$34.38	$35.36	$38.97					
4 Purchases	$35.14	$42.88	$45.66						
5 Purchases	$43.07	$50.51	$68.15						
6 to 10 Purchases	$57.80	$66.15							
11 to 15 Purchases	$86.25								
16+ Purchases	$98.51								
Catalogs Mailed, Annually					**Retail Purchases**				
	0	1	2	3	4	5	6 to 10	11 to 15	16+
Direct Purchases	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders
No Purchases		3.9	5.6	6.4	7.3	8.1	9.6		
1 Purchase	6.1	8.2	8.8	9.5	10.7		12.7		
2 Purchases	9.4	10.7	11.4	12.0	13.0				
3 Purchases	11.8	13.0	13.8	14.3					
4 Purchases	13.9	14.9	15.6						
5 Purchases	15.5	16.4	19.5						
6 to 10 Purchases	18.0	19.0							
11 to 15 Purchases	21.2								
16+ Purchases	22.6								
Estimated Catalog Driven Profit, Annual					**Retail Purchases**				
	0	1	2	3	4	5	6 to 10	11 to 15	16+
Direct Purchases	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders	Orders
No Purchases		$1.14	$1.73	$2.14	$2.39	$2.52	$3.11		
1 Purchase	$1.17	$2.81	$3.91	$4.73	$5.87		$5.13		
2 Purchases	$2.59	$5.04	$4.89	$5.72	$7.57				
3 Purchases	$4.70	$7.11	$7.10	$8.21					
4 Purchases	$6.85	$9.39	$10.12						
5 Purchases	$9.05	$11.51	$16.66						
6 to 10 Purchases	$13.43	$16.20							
11 to 15 Purchases	$22.75								
16+ Purchases	$26.80								

Optimal Catalog Profitability

I put your catalog contact strategy through my optimization routine. Here's what I do:

1. I predict the likelihood of a customer purchasing in the next year (50%).
2. I predict how much the customer will spend on catalog-driven demand (85%*phone + 50%*online + 10%*retail).
3. I multiply (1) by (2) – giving me predicted annual catalog-driven demand.
4. I segment customers into two-percentiles … creating 50 segments in total, ranked from highest catalog-driven value to lowest catalog-driven value.
5. I then apply cannibalization rules to create a slope of diminishing returns (i.e. 1st 5 catalogs produce more value than the 2nd 5 catalogs sent to a customer), to determine the optimal number of catalogs to mail, annually.
6. I compare the current strategy to the optimal strategy.

Profit is for the total business, and does not include any other marketing costs beyond catalog marketing costs. Other marketing costs would be constant for each row in the table, and therefore, would not impact optimal profit in the segment. Optimal profit in the segment is based only on catalog-attributed demand … I then take the remainder of the demand (not catalog driven) and simply multiply it by 0.39, FYI.

Here is the ranking of customers as of the end of fiscal 2013, evaluating how customers actually behaved in 2014.

Order	Buyers	Cumm Dmd	Cumm Catlg	Cumm Cost	Cumm Profit
1	295,370	$239,328,336	9,398,635	$4,847,397	$88,490,654
2	295,375	$376,898,076	17,904,930	$9,231,566	$137,758,684
3	295,375	$484,043,827	25,773,925	$13,286,762	$175,490,330
4	295,370	$572,744,569	33,110,880	$17,070,405	$206,299,977
5	295,375	$648,426,876	39,936,500	$20,589,918	$232,296,563
6	295,375	$713,410,170	46,349,735	$23,899,692	$254,330,274
7	295,370	$771,021,548	52,388,230	$27,011,386	$273,687,018
8	295,375	$820,580,592	58,057,360	$29,932,212	$290,094,219
9	295,375	$865,670,467	63,406,205	$32,683,061	$304,928,422
10	295,370	$906,717,800	68,508,420	$35,301,044	$318,318,898
11	295,375	$942,912,787	73,333,235	$37,774,066	$329,961,921
12	295,375	$976,713,773	77,951,830	$40,132,628	$340,785,743
13	295,370	$1,007,352,929	82,299,535	$42,341,085	$350,526,557
14	295,375	$1,033,945,218	86,385,380	$44,421,994	$358,816,641
15	295,375	$1,060,186,172	90,445,115	$46,474,707	$366,997,900
16	295,370	$1,083,632,777	94,188,700	$48,357,119	$374,259,664
17	295,375	$1,105,051,992	97,866,095	$50,210,782	$380,759,495
18	295,370	$1,124,942,582	101,281,585	$51,925,387	$386,802,220
19	295,375	$1,144,225,229	104,649,895	$53,607,632	$392,640,208
20	295,375	$1,161,838,001	107,896,105	$55,218,245	$397,898,576
21	295,375	$1,178,085,460	111,069,935	$56,787,715	$402,665,615
22	295,370	$1,193,655,589	114,079,195	$58,279,940	$407,245,740
23	295,375	$1,207,492,498	116,899,435	$59,679,924	$411,242,150
24	295,370	$1,220,774,923	119,534,050	$60,971,927	$415,130,293
25	295,375	$1,233,035,349	122,032,670	$62,188,248	$418,695,539
26	295,375	$1,245,987,718	124,899,135	$63,579,678	$422,355,532
27	295,375	$1,257,652,596	127,516,235	$64,845,866	$425,638,647
28	295,385	$1,268,310,534	129,867,935	$65,971,981	$428,669,127
29	295,360	$1,279,687,591	132,450,280	$67,211,459	$431,866,701
30	295,375	$1,289,807,015	134,906,075	$68,388,236	$434,636,500
31	295,375	$1,298,448,977	136,953,940	$69,371,282	$437,023,819
32	295,355	$1,306,364,315	138,777,990	$70,254,962	$439,227,120
33	295,240	$1,315,382,164	141,142,470	$71,388,128	$441,610,916
34	295,500	$1,323,377,075	143,365,680	$72,450,633	$443,666,426
35	295,415	$1,330,943,191	145,371,480	$73,391,315	$445,676,529
36	295,355	$1,338,612,863	147,440,775	$74,338,984	$447,720,032
37	295,375	$1,346,056,827	149,495,845	$75,285,209	$449,676,953
38	295,380	$1,353,746,764	151,572,460	$76,240,376	$451,720,862
39	293,610	$1,360,022,317	153,469,925	$77,102,251	$453,306,453
40	297,130	$1,365,934,118	155,247,715	$77,898,960	$454,815,346
41	295,370	$1,373,194,591	157,251,370	$78,832,196	$456,713,694
42	295,420	$1,378,841,932	159,068,990	$79,685,863	$458,062,490
43	295,120	$1,383,797,256	160,685,305	$80,417,920	$459,263,010
44	295,575	$1,389,631,987	162,500,945	$81,225,534	$460,730,941
45	295,420	$1,394,422,715	164,140,120	$81,949,487	$461,875,372
46	295,335	$1,398,247,449	165,583,485	$82,580,675	$462,735,830
47	295,430	$1,403,380,909	167,068,075	$83,224,875	$464,093,679
48	298,190	$1,407,434,927	168,449,380	$83,812,006	$465,087,616
49	292,490	$1,412,469,271	169,632,625	$84,318,737	$466,544,279
50	295,380	$1,416,779,909	170,714,245	$84,784,363	$467,759,802

Now, let's look at what optimal demand/profit would look like. Then, the table on the next page subtracts current from optimal. After viewing the next two pages, we will discuss what the results mean.

Order	Buyers	Optimal Dmd	Optimal Cats	Optimal Cost	Optimal Prft
1	295,370	$255,884,079	11,814,800	$6,093,547	$93,701,244
2	295,375	$406,478,519	23,629,800	$12,183,033	$146,343,590
3	295,375	$526,081,088	35,444,800	$18,271,757	$186,899,867
4	295,370	$626,794,787	47,259,600	$24,364,609	$220,085,358
5	295,375	$714,423,879	59,074,600	$30,456,811	$248,168,502
6	295,375	$791,107,507	70,889,600	$36,554,354	$271,977,574
7	295,370	$860,307,488	82,704,400	$42,642,633	$292,877,288
8	295,375	$921,095,648	94,519,400	$48,729,907	$310,497,395
9	295,375	$977,366,387	106,334,400	$54,806,225	$326,366,666
10	295,370	$1,029,299,298	118,149,200	$60,868,485	$340,558,242
11	295,375	$1,074,586,591	128,782,700	$66,318,823	$352,769,947
12	295,375	$1,115,830,422	138,234,700	$71,145,645	$364,028,220
13	295,370	$1,152,364,407	146,505,060	$75,346,650	$374,075,469
14	295,375	$1,183,398,514	153,594,060	$78,957,056	$382,568,364
15	295,375	$1,213,623,353	160,387,685	$82,392,099	$390,921,008
16	295,370	$1,240,133,159	166,295,085	$85,362,558	$398,289,374
17	295,375	$1,263,842,728	171,611,835	$88,042,569	$404,856,095
18	295,370	$1,285,555,868	176,337,755	$90,415,021	$410,951,768
19	295,375	$1,306,307,820	180,768,380	$92,627,821	$416,832,229
20	295,375	$1,325,108,218	184,903,630	$94,679,533	$422,112,672
21	295,375	$1,341,828,914	188,448,130	$96,432,300	$426,880,976
22	295,370	$1,357,715,093	191,697,200	$98,043,442	$431,465,444
23	295,375	$1,371,344,994	194,355,575	$99,363,076	$435,461,472
24	295,370	$1,384,657,553	197,013,905	$100,666,708	$439,349,738
25	295,375	$1,397,118,997	199,672,280	$101,960,797	$442,915,612
26	295,375	$1,409,468,093	202,035,280	$103,107,837	$446,584,720
27	295,375	$1,420,480,708	204,102,905	$104,108,181	$449,879,295
28	295,385	$1,430,799,564	206,170,600	$105,098,300	$452,913,530
29	295,360	$1,441,578,601	208,238,120	$106,090,672	$456,124,982
30	295,375	$1,450,935,819	210,010,370	$106,939,905	$458,925,064
31	295,375	$1,458,917,736	211,487,245	$107,648,856	$461,329,061
32	295,355	$1,466,437,560	212,964,020	$108,364,296	$463,546,353
33	295,240	$1,474,503,527	214,440,220	$109,071,757	$465,984,619
34	295,500	$1,481,413,547	215,622,220	$109,636,653	$468,114,631
35	295,415	$1,488,107,954	216,803,880	$110,190,829	$470,171,273
36	295,355	$1,494,869,166	217,985,300	$110,731,880	$472,267,094
37	295,375	$1,501,401,274	219,166,800	$111,275,884	$474,270,613
38	295,380	$1,508,215,179	220,348,320	$111,819,339	$476,384,580
39	293,610	$1,513,491,058	221,229,150	$112,219,434	$478,042,079
40	297,130	$1,518,541,935	222,120,540	$112,618,907	$479,612,448
41	295,370	$1,524,665,458	223,006,650	$113,031,627	$481,587,901
42	295,420	$1,529,462,822	223,892,910	$113,447,870	$483,042,631
43	295,120	$1,533,470,138	224,483,150	$113,715,200	$484,338,154
44	295,575	$1,538,508,445	225,369,875	$114,109,623	$485,908,670
45	295,420	$1,542,389,813	225,960,715	$114,370,572	$487,161,455
46	295,335	$1,545,542,716	226,551,385	$114,628,874	$488,132,785
47	295,430	$1,549,885,102	227,142,245	$114,885,263	$489,569,927
48	298,190	$1,553,284,447	227,738,625	$115,138,757	$490,642,178
49	292,490	$1,557,759,188	228,323,605	$115,389,278	$492,136,806
50	295,380	$1,561,623,307	228,914,365	$115,643,593	$493,389,496

Order	Buyers	Change Dmd	Change Cats	Change Cost	Change Profit	Act Cats	Opt Cats	% 12mo. Buyers	48mo. Phn Frq	48mo. Web Frq	48mo. Ret Frq
1	295,370	$16,555,744	2,416,165	$1,246,150	$5,210,590	31.8	40.0	99.0%	15.7	16.2	4.6
2	295,375	$29,580,443	5,724,870	$2,951,466	$8,584,906	28.8	40.0	97.7%	7.1	9.9	3.3
3	295,375	$42,037,261	9,670,875	$4,984,995	$11,409,537	26.6	40.0	96.6%	5.0	7.8	2.8
4	295,370	$54,050,219	14,148,720	$7,294,204	$13,785,381	24.8	40.0	95.2%	4.0	6.4	2.5
5	295,375	$65,997,002	19,138,100	$9,866,892	$15,871,939	23.1	40.0	93.4%	3.2	5.5	2.2
6	295,375	$77,697,338	24,539,865	$12,654,662	$17,647,300	21.7	40.0	91.9%	2.9	4.6	1.9
7	295,370	$89,285,940	30,316,170	$15,631,246	$19,190,270	20.4	40.0	89.5%	2.4	4.2	1.6
8	295,375	$100,515,056	36,462,040	$18,797,696	$20,403,176	19.2	40.0	87.3%	2.3	3.6	1.3
9	295,375	$111,695,920	42,928,195	$22,123,164	$21,438,244	18.1	40.0	87.4%	2.0	3.3	1.2
10	295,370	$122,581,498	49,640,780	$25,567,440	$22,239,344	17.3	40.0	82.3%	1.8	3.0	1.1
11	295,375	$131,673,804	55,449,465	$28,544,757	$22,808,026	16.3	36.0	83.3%	1.6	2.8	0.8
12	295,375	$139,116,649	60,282,870	$31,013,016	$23,242,477	15.6	32.0	77.8%	1.5	2.4	0.8
13	295,370	$145,011,478	64,205,525	$33,005,565	$23,548,912	14.7	28.0	79.3%	1.1	2.6	0.7
14	295,375	$149,453,296	67,208,680	$34,535,063	$23,751,723	13.8	24.0	78.6%	1.3	2.1	0.6
15	295,375	$153,437,181	69,942,570	$35,917,392	$23,923,108	13.7	23.0	70.5%	1.2	2.0	0.6
16	295,370	$156,500,382	72,106,385	$37,005,438	$24,029,711	12.7	20.0	74.2%	0.9	2.0	0.5
17	295,375	$158,790,736	73,745,740	$37,831,787	$24,096,600	12.4	18.0	69.6%	0.9	1.8	0.4
18	295,370	$160,613,286	75,056,170	$38,489,634	$24,149,547	11.6	16.0	71.8%	1.0	1.4	0.4
19	295,375	$162,082,591	76,118,485	$39,020,189	$24,192,021	11.4	15.0	65.2%	0.8	1.7	0.3
20	295,375	$163,270,217	77,007,525	$39,461,288	$24,214,097	11.0	14.0	64.2%	0.8	1.5	0.4
21	295,375	$163,743,454	77,378,195	$39,644,586	$24,215,361	10.7	12.0	58.8%	0.6	1.7	0.3
22	295,370	$164,059,504	77,618,005	$39,763,502	$24,219,705	10.2	11.0	59.4%	0.8	1.1	0.4
23	295,375	$163,852,496	77,456,140	$39,683,151	$24,219,322	9.5	9.0	63.1%	0.7	1.0	0.3
24	295,370	$163,882,631	77,479,855	$39,694,781	$24,219,445	8.9	9.0	61.5%	0.4	1.4	0.2
25	295,375	$164,083,648	77,639,610	$39,772,549	$24,220,073	8.5	9.0	54.2%	0.6	1.1	0.2
26	295,375	$163,480,375	77,136,145	$39,528,159	$24,229,187	9.7	8.0	39.9%	0.6	1.2	0.3
27	295,375	$162,828,113	76,586,670	$39,262,316	$24,240,648	8.9	7.0	44.3%	0.4	1.4	0.2
28	295,385	$162,489,030	76,302,665	$39,126,319	$24,244,402	8.0	7.0	40.2%	0.6	0.8	0.3
29	295,360	$161,891,010	75,787,840	$38,879,213	$24,258,281	8.7	7.0	30.3%	0.5	0.9	0.3
30	295,375	$161,128,804	75,104,295	$38,551,669	$24,288,564	8.3	6.0	33.5%	0.4	1.1	0.2
31	295,375	$160,468,758	74,533,305	$38,277,574	$24,305,241	6.9	5.0	48.5%	0.4	1.0	0.2
32	295,355	$160,073,246	74,186,030	$38,109,333	$24,319,233	6.2	5.0	57.4%	0.2	0.9	0.2
33	295,240	$159,121,363	73,297,750	$37,683,629	$24,373,702	8.0	5.0	15.2%	0.4	0.8	0.2
34	295,500	$158,036,473	72,256,540	$37,186,020	$24,448,205	7.5	4.0	19.4%	0.3	1.0	0.2
35	295,415	$157,164,763	71,432,400	$36,799,514	$24,494,744	6.8	4.0	29.9%	0.2	1.1	0.2
36	295,355	$156,256,302	70,544,525	$36,392,896	$24,547,062	7.0	4.0	12.2%	0.5	0.6	0.3
37	295,375	$155,344,447	69,670,955	$35,990,674	$24,593,660	7.0	4.0	7.6%	0.5	0.6	0.2
38	295,380	$154,468,415	68,775,860	$35,578,963	$24,663,719	7.0	4.0	7.9%	0.2	1.0	0.2
39	293,610	$153,468,741	67,759,225	$35,117,183	$24,735,626	6.5	3.0	5.4%	0.3	1.0	0.1
40	297,130	$152,607,817	66,872,825	$34,719,947	$24,797,102	6.0	3.0	8.1%	0.5	0.4	0.2
41	295,370	$151,470,868	65,755,280	$34,199,431	$24,874,207	6.8	3.0	5.8%	0.1	1.0	0.2
42	295,420	$150,620,890	64,823,920	$33,762,007	$24,980,140	6.2	3.0	1.9%	0.0	1.1	0.1
43	295,120	$149,672,882	63,797,845	$33,297,280	$25,075,145	5.5	2.0	2.9%	0.0	1.0	0.2
44	295,575	$148,876,459	62,868,930	$32,884,089	$25,177,730	6.1	3.0	5.3%	0.1	0.8	0.3
45	295,420	$147,967,098	61,820,595	$32,421,085	$25,286,083	5.5	2.0	1.8%	0.0	0.9	0.2
46	295,335	$147,295,267	60,967,900	$32,048,199	$25,396,956	4.9	2.0	1.0%	0.0	0.9	0.1
47	295,430	$146,504,193	60,074,170	$31,660,387	$25,476,248	5.0	2.0	3.3%	0.0	0.7	0.4
48	298,190	$145,849,520	59,289,245	$31,326,751	$25,554,562	4.6	2.0	0.0%	0.0	0.8	0.2
49	292,490	$145,289,917	58,690,980	$31,070,541	$25,592,527	4.0	2.0	0.0%	0.0	0.4	0.6
50	295,380	$144,843,398	58,200,120	$30,859,231	$25,629,694	3.7	2.0	0.0%	0.0	0.0	1.0

The methodology suggests that you have catalog customers that are so darn good that you should be mailing many of them more often … much more often. The top 20% of your 0-48 month file could sustain a whopping forty mailings per year, assuming that my guesses of 85% phone demand / 50% online demand / 10% retail demand lead to catalog-driven demand is accurate. And that's a BIG IF!!!

Now, honestly, even if I am 100% right (and that's a BIG IF), you may not have the bandwidth to create forty unique catalogs a year. But you do have a customer base that is catalog responsive, so that's what the methodology is pointing out.

The methodology is estimating that there is $122,000,000 of incremental demand to be had by mailing catalog-centric customers a lot more catalogs … at an ad cost of just

over $25,000,000 … leading to an additional $22,000,000 profit. Again, this end of the table is essentially theory … theory supported with data, but still theory. You would have to test your way into this slowly, if you believe in the data I am sharing with you.

Ok, let's get to the meat of the algorithm. My algorithm is usually very good at removing catalogs from customers, should the client be poor at managing and modeling circulation strategies. You, of course, are excellent at managing and modeling circulation strategies. I typically find $1,000,000 of profit per $100,000,000 business (usually much more) by optimizing contacts at the bottom of the file.

You will not have a $15,000,000 opportunity, as I would normally forecast. Your modelers and circulation experts have already done the optimization work for you.

Look at the table on page 33, and read from segment 26 on down to segment 50. Here is what my optimization routine, with my assumptions yields.

- A demand reduction of $18.6 million per year.
- A circulation reduction of 18.9 million per year.
- An ad cost reduction of $8.7 million per year.
- An annual profit improvement of $1.4 million per year.

A paltry $1.4 million per year? This means your modeling staff and circulation staff DO AN ABSOLUTELY EXCEPTIONAL JOB!

Seriously. You need to go take them out for dinner, and then give them all a 20% salary bonus for doing a great job. They are contributing about $14,000,000 annual profit above-and-beyond the average amount of profit another modeling/circulation team at another company would deliver, based on my methodology. In fact, your modeling/circulation team is delivering essentially the same mailing recommendations that I am recommending to you.

Your modeling/circulation team delivers a disproportionate amount of profit to your business. Please reward those individuals for doing an outstanding job.

A Hotline Catalog Trigger Program

I ran a query, so that I could show you how online visits play a role in generating customer value. The following table illustrates how 13-18 month buyers with 1 historical purchase responded in the next twelve months, by online visit recency.

Purchase Recency	Visit Recency	HHs	Rebuy	Spend	Future	NY Catalogs
13-18mo	1 month	35,085	32.8%	$155.33	$50.93	7.97
13-18mo	2 months	27,030	24.6%	$149.01	$36.69	7.82
13-18mo	3 months	28,810	25.1%	$155.44	$38.98	7.68
13-18mo	4 months	17,920	21.5%	$145.29	$31.30	7.32
13-18mo	5 months	12,675	20.0%	$137.81	$27.51	7.25
13-18mo	6 months	11,020	20.4%	$139.86	$28.49	7.20
13-18mo	7 months	9,985	18.2%	$148.48	$26.99	7.22
13-18mo	8 months	10,910	16.9%	$154.63	$26.08	7.19
13-18mo	9 months	12,435	16.9%	$143.37	$24.21	7.02
13-18mo	10 months	12,495	15.6%	$138.57	$21.57	6.69
13-18mo	11 months	13,440	16.2%	$149.87	$24.31	6.98
13-18mo	12 months	16,295	15.1%	$135.46	$20.49	6.54
13-18mo	13+/None	724,390	14.4%	$141.68	$20.33	6.07

The query was run on a 20% sample of customer data, with households grossed-up to represent 100% coverage. Notice that a 13-18 month buyer who visited the website last month has +/- double the demand value of other customers.

Interestingly, you are not fundamentally mailing the customers differently – the increased repurchase rates lead to minimal purchase recency which kicks-out additional catalogs.

Here's the same table – but for 13-18 month buyers with exactly 3 historical purchases.

Purchase Recency	Visit Recency	HHs	Rebuy	Spend	Future	NY Catalogs
13-18mo	1 month	24,515	49.3%	$165.50	$81.55	13.39
13-18mo	2 months	16,635	44.8%	$172.23	$77.13	13.67
13-18mo	3 months	15,800	44.4%	$173.27	$76.99	13.62
13-18mo	4 months	9,235	38.8%	$163.53	$63.48	13.32
13-18mo	5 months	6,025	38.8%	$157.90	$61.32	13.32
13-18mo	6 months	5,240	37.2%	$172.94	$64.36	13.29
13-18mo	7 months	4,955	36.6%	$171.78	$62.92	13.42
13-18mo	8 months	4,710	34.9%	$142.06	$49.62	13.08
13-18mo	9 months	6,075	32.1%	$171.55	$55.07	13.01
13-18mo	10 months	5,335	35.6%	$164.67	$58.65	12.80
13-18mo	11 months	5,760	30.0%	$177.87	$53.42	12.92
13-18mo	12 months	6,475	31.9%	$165.27	$52.71	12.70
13-18mo	13+/None	199,220	30.9%	$161.86	$50.04	12.22

We observe a similar trend, but future value is not as pronounced. You can also see that these customers, in spite of 13-18 months of recency, are much more likely to visit the website within the past three months. So the value of triggers here, with 12+ annual catalogs, is greatly minimized.

Here's the same table for customers with exactly 5 purchases.

Purchase Recency	Visit Recency	HHs	Rebuy	Spend	Future	NY Catalogs
13-18mo	1 month	13,220	60.7%	$195.55	$118.78	16.67
13-18mo	2 months	8,910	55.1%	$197.92	$108.96	16.67
13-18mo	3 months	7,450	53.0%	$191.60	$101.46	17.05
13-18mo	4 months	4,240	50.2%	$182.94	$91.90	16.57
13-18mo	5 months	2,990	48.3%	$191.06	$92.34	17.12
13-18mo	6 months	2,320	50.4%	$177.16	$89.35	16.90
13-18mo	7 months	1,985	44.6%	$193.40	$86.23	16.32
13-18mo	8 months	2,175	41.8%	$167.84	$70.22	16.91
13-18mo	9 months	2,990	42.8%	$191.61	$82.03	15.72
13-18mo	10 months	2,470	41.3%	$175.94	$72.66	16.23
13-18mo	11 months	2,205	45.4%	$172.24	$78.11	16.12
13-18mo	12 months	2,820	44.5%	$175.66	$78.17	15.86
13-18mo	13+/None	70,230	42.3%	$182.46	$77.24	15.67

The impact is similar or less pronounced.

FYI, I modeled website visit recency and visits by marketing channel – visits by marketing channel had minimal impact – website visit recency had positive and significant impact.

Here's what I'd like you to do about this. You have about 425,000 customers with a purchase recency > 12 months, two or fewer life-to-date purchases, and a website visit in the past three months. Within this audience, I'd like to see you set up a hotline trigger program. If a customer has not received a catalog in the past six weeks, and the lapsed infrequent buyer visits your website, then kick-out a hotline catalog to the customer. Based on all of the project work I perform for clients, it is obvious that the future of lapsed catalog customer marketing includes catalog hotline triggers. Why send catalogs to customers who have no interest in interacting with your business?

New Stores

Rumor has it you plan on opening +/- one hundred stores in the near future. When mature retailers open additional stores, there is a common trend – direct channel sales suffer in the first year the store is opened. After the first year, direct channel sales perform admirably, but don't always make up for the lower trajectory caused by the sales loss in the first year.

That's what happens among mature retailers.

Retailers early in the growth cycle tend to see flat direct channel sales, or modest increases.

In your case, I found five stores where I had reasonable pre/post analysis periods. The table below shows what happens to phone / online / retail demand in the year after a new store opens.

Store 1020 Market Development					
			Other	New	Direct
	Phone	Web	Retail	Store	Change
Today	$2,507,389	$5,786,160	$3,034,998	$2,176,868	$467,923
2 Years After	$2,416,328	$5,409,298	$2,888,492	$2,099,559	$506,746
1 Year After	$2,439,008	$4,879,872	$2,799,107	$2,214,905	$79,765
Begin Date	$2,603,563	$4,635,552	$3,166,533	$0	$194,845
1 Year Before	$2,598,205	$4,446,065	$3,176,678	$0	

Store 970 Market Development					
			Other	New	Direct
	Phone	Web	Retail	Store	Change
Today	$1,703,601	$3,253,114	$403,472	$3,019,748	$234,350
1 Year After	$1,704,450	$3,017,915	$520,103	$2,821,902	$150,783
Begin Date	$1,745,096	$2,826,486	$3,012,183	$0	$69,313
1 Year Before	$1,791,758	$2,710,511	$2,666,745	$0	

Store 950 Market Development					
			Other	New	Direct
	Phone	Web	Retail	Store	Change
Today	$3,255,296	$5,887,917	$709,135	$3,435,345	$237,955
1 Year After	$3,340,638	$5,564,620	$674,079	$3,710,642	$61,816
Begin Date	$3,531,825	$5,311,617	$969,652	$0	$307,920
1 Year Before	$3,492,568	$5,042,954	$910,743	$0	

Store 560 Market Development					
			Other	New	Direct
	Phone	Web	Retail	Store	Change
Today	$6,005,728	$16,602,298	$10,182,132	$554,344	$680,122
1 Year After	$6,018,031	$15,909,873	$9,975,559	$393,138	$1,976,883
Begin Date	$5,952,586	$13,998,435	$9,211,403	$0	$1,336,338
1 Year Before	$5,871,727	$12,742,956	$9,027,791	$0	

Store 960 Market Development					
			Other	New	Direct
	Phone	Web	Retail	Store	Change
Today	$4,110,658	$8,639,024	$1,920,163	$4,697,281	$1,101,170
1 Year After	$4,182,319	$7,466,193	$1,754,113	$4,680,832	($326,021)
Begin Date	$4,440,904	$7,533,629	$2,076,987	$505,120	$40,695
1 Year Before	$4,620,386	$7,313,452	$1,849,213	$0	

Here is what happens to phone demand, on average, across the four stores (in the next twelve months):

- Store 1020 = -6%.
- Store 970 = -2%.
- Store 950 = -5%.
- Store 560 = +1%.
- Store 960 = -6%.
- Average = -4%.

Here is what happens to online demand, on average, across the four stores (in the next twelve months):

- Store 1020 = +5%.
- Store 970 = +7%.
- Store 950 = +5%.
- Store 560 = +8%.
- Store 960 = -1%.
- Average = +6%.

The net of the relationship is about +3% for the direct channel, nothing to write home about, but nothing to fear as you open new stores. Many retailers see catalog declines when new stores open – demand is shifted from the direct channel to the retail channel – and in retail, with +/- 10% of demand driven by catalogs, the shift results in a new drop in catalog effectiveness.

Here is what happens to other store retail demand, on average, across the four stores (in the next twelve months):

- Store 1020 = -12%.
- Store 970 = -83%.
- Store 950 = -31%.
- Store 560 = +8%.
- Store 960 = -16%.
- Average = -26%.

If I throw out Store 970, the average is -13%.

Keep an eye on this relationship. At this time, direct-channel demand does not appear to be impacted by new store openings, while existing market retail demand does appear to be impacted when a new store opens. I realize that I probably don't have retail transactions associated with non-direct channel buyers, but regardless, this is something that must be monitored.

Retail Shift

If you are planning on opening a lot of stores, then you are unconsciously planning on changing the behavior of a lot of customers.

In this query, I queried customers who purchased in Fiscal 2010 and Fiscal 2011 and Fiscal 2012, and did not purchase during those three years in your retail channel. Then, I split the audience based on 2013 behavior – those who purchased at retail and those who purchased, but not in stores. I measured the change in behavior, from a merchandise standpoint, in phone/online/retail channels, in Fiscal 2014. This helps us understand a pre/post perspective. Here's what the analysis suggests, from a direct channel perspective ("convert" means that the customer converts and buys in a store).

		No Convert	Convert	No Convert	Convert
Merchandise Division	Merchandise Group	Phone	Phone	Online	Online
Womens	Womens Accessories	0.8%	0.8%	1.0%	1.0%
Womens	Womens Apparel	30.8%	**24.6%**	27.1%	**21.1%**
Womens	Womens Footwear	5.4%	6.6%	5.8%	7.0%
Womens	Womens Outerwear	6.4%	7.6%	6.3%	7.2%
Mens	Mens Accessories	1.3%	1.4%	1.6%	1.8%
Mens	Mens Apparel	23.9%	**20.8%**	22.1%	**18.7%**
Mens	Mens Footwear	6.1%	6.9%	5.6%	6.1%
Mens	Mens Outerwear	3.5%	4.2%	3.6%	3.9%
Home	Home Accessories	3.6%	**3.4%**	3.5%	3.7%
Home	Home Textiles	6.2%	**5.9%**	5.5%	6.0%
Home	Other	1.5%	1.9%	1.5%	2.2%
Sporting Equipment	Camping and Hiking	0.7%	1.1%	1.2%	1.9%
Sporting Equipment	Fishing	0.6%	0.8%	0.9%	0.9%
Sporting Equipment	General Sporting	0.8%	1.2%	1.0%	1.4%
Sporting Equipment	Hunting	0.9%	1.1%	1.3%	1.4%
Sporting Equipment	Winter Sports	0.6%	1.3%	0.9%	1.7%
Sporting Equipment	Other	0.4%	1.1%	0.7%	1.1%
Travel & School Bags	School Bags and Accessories	0.6%	0.8%	1.4%	1.4%
Travel & School Bags	Travel Bags and Accessories	2.2%	2.8%	3.2%	3.7%
Kids	Boys	0.5%	0.6%	1.0%	1.2%
Kids	Girls	0.6%	0.7%	1.1%	1.3%
Kids	Kids Joint	0.7%	1.0%	1.7%	2.3%
Signature Mens	Other	0.2%	0.6%	0.5%	0.7%
Signature Womens	Other	0.5%	1.0%	0.9%	1.3%
Other	Gift Cards / Certificates	1.2%	1.4%	0.6%	0.8%
Other	Other	0.0%	0.1%	0.0%	0.1%

The very act of purchasing in an L.L. Bean store changes the merchandise preference of a customer when the customer purchases via phone/online. The act of purchasing in a retail store causes the customer to spend less in Womens Apparel and Mens Apparel in the direct channel, and causes the customer to spend marginally less in Home Accessories / Home Textiles via the telephone.

The very act of a customer purchasing in an L.L. Bean store causes the customer to change his/her merchandise preference.

It is obvious, from our analysis, that the catalog pulls a customer toward Mens/Womens Apparel. It is obvious, from our analysis, that retail stores pull a customer away from

Mens/Womens Apparel. Since you are expanding by +/- 100 stores in upcoming years, you are going to go through a transition, and undoubtedly, your catalog is going to have to go through a transition as well. Or, the catalog specializes on the Mens/Womens Apparel customer and you optimize catalog profit, allowing the catalog customer to slowly migrate away from the retail customer.

Forecasted Demand

For simplicity purposes, I excluded the impact of retail behavior, and I excluded the impact of phone/online interactions. The result is a simple five-year forecast model that forecasts where your direct channel is headed.

Simple 5 Year Forecast: L.L. Bean Direct							
		Year Ending	After	After	After	After	After
	Last Year	Today	1 Year	2 Years	3 Year	4 Years	5 Years
0-12 Month, 1x Buyers	3,470,110	3,607,745	3,635,357	3,656,253	3,686,258	3,710,374	3,728,731
0-12 Month, 2x Buyers	1,299,095	1,322,645	1,338,724	1,351,090	1,363,857	1,374,609	1,383,291
0-12 Month, 3x+ Buyers	1,493,825	1,514,885	1,538,616	1,558,387	1,575,128	1,589,755	1,602,197
13-24 Month Buyers	2,988,375	3,081,655	3,184,301	3,213,598	3,236,199	3,264,247	3,287,227
25-36 Month Buyers	2,416,740	2,173,190	2,241,025	2,315,670	2,336,975	2,353,411	2,373,808
37-48 Month Buyers	1,906,055	1,966,055	1,767,923	1,823,108	1,883,833	1,901,165	1,914,536
Newbies, 1x		1,355,775	1,355,775	1,355,775	1,355,775	1,355,775	1,355,775
Newbies, 2x		280,740	280,740	280,740	280,740	280,740	280,740
Newbies, 3x+		113,875	113,875	113,875	113,875	113,875	113,875
12 Month Buyer File		6,445,275	6,512,697	6,565,730	6,625,243	6,674,738	6,714,220
Total Demand		$1,436,686,941	$1,455,721,246	$1,471,606,346	$1,486,477,692	$1,499,190,387	$1,509,767,447
Demand per Buyer		$222.91	$223.52	$224.13	$224.37	$224.61	$224.86
New Buyers		1,750,390	1,750,390	1,750,390	1,750,390	1,750,390	1,750,390
Existing Buyers		4,694,885	4,762,307	4,815,340	4,874,853	4,924,348	4,963,830
Demand Growth (Year-Over-Year)			1.3%	1.1%	1.0%	0.9%	0.7%
Buyer Growth (Year-Over-Year)			1.0%	0.8%	0.9%	0.7%	0.6%
Rebuy Rate Adjustment			1.000	1.000	1.000	1.000	1.000
Newbie Adjustment			1.000	1.000	1.000	1.000	1.000
Spend Adjustment			1.000	1.000	1.000	1.000	1.000

The analysis strongly suggests that your business has been "optimized". My "New England-Centric" clients typically have forecasts that look like this … they know exactly how many new customers they must acquire in order to keep the wheels on the bus.

For illustrative purposes, I want to show you what a 10% increase in new+reactivated(>48mo) buyers means to your business.

Simple 5 Year Forecast: L.L. Bean Direct							
		Year Ending	After	After	After	After	After
	Last Year	Today	1 Year	2 Years	3 Year	4 Years	5 Years
0-12 Month, 1x Buyers	3,470,110	3,607,745	3,770,934	3,827,964	3,889,806	3,942,458	3,986,600
0-12 Month, 2x Buyers	1,299,095	1,322,645	1,366,798	1,396,497	1,424,261	1,447,988	1,468,095
0-12 Month, 3x+ Buyers	1,493,825	1,514,885	1,550,004	1,589,850	1,626,361	1,658,510	1,686,325
13-24 Month Buyers	2,988,375	3,081,655	3,184,301	3,315,095	3,372,322	3,431,148	3,481,474
25-36 Month Buyers	2,416,740	2,173,190	2,241,025	2,315,670	2,410,786	2,452,402	2,495,181
37-48 Month Buyers	1,906,055	1,966,055	1,767,923	1,823,108	1,883,833	1,961,211	1,995,066
Newbies, 1x		1,355,775	1,491,353	1,491,353	1,491,353	1,491,353	1,491,353
Newbies, 2x		280,740	308,814	308,814	308,814	308,814	308,814
Newbies, 3x+		113,875	125,263	125,263	125,263	125,263	125,263
12 Month Buyer File		6,445,275	6,687,736	6,814,311	6,940,428	7,048,956	7,141,020
Total Demand		$1,436,686,941	$1,478,669,978	$1,511,907,647	$1,543,808,723	$1,571,710,480	$1,595,702,518
Demand per Buyer		$222.91	$221.10	$221.87	$222.44	$222.97	$223.46
New Buyers		1,750,390	1,925,429	1,925,429	1,925,429	1,925,429	1,925,429
Existing Buyers		4,694,885	4,762,307	4,888,882	5,014,999	5,123,527	5,215,591
Demand Growth (Year-Over-Year)			2.9%	2.2%	2.1%	1.8%	1.5%
Buyer Growth (Year-Over-Year)			3.8%	1.9%	1.9%	1.6%	1.3%
Rebuy Rate Adjustment			1.000	1.000	1.000	1.000	1.000
Newbie Adjustment			1.100	1.100	1.100	1.100	1.100
Spend Adjustment			1.000	1.000	1.000	1.000	1.000

Look at that … there isn't a huge benefit. Demand grows by +/- 2% per year instead of at +/- 1%. Your business is so loaded with good customers that new customer acquisition simply doesn't deliver the benefits that the vast majority of my client base obtain when they increase new customer acquisition by 10%.

Let's increase new+reactivated buyers by 40%.

Simple 5 Year Forecast: L.L. Bean Direct							
		Year Ending	After	After	After	After	After
	Last Year	Today	1 Year	2 Years	3 Year	4 Years	5 Years
0-12 Month, 1x Buyers	3,470,110	3,607,745	4,177,667	4,343,100	4,500,449	4,638,710	4,760,209
0-12 Month, 2x Buyers	1,299,095	1,322,645	1,451,020	1,532,716	1,605,472	1,668,127	1,722,505
0-12 Month, 3x+ Buyers	1,493,825	1,514,885	1,584,166	1,684,237	1,780,059	1,864,773	1,938,706
13-24 Month Buyers	2,988,375	3,081,655	3,184,301	3,619,587	3,780,689	3,931,854	4,064,215
25-36 Month Buyers	2,416,740	2,173,190	2,241,025	2,315,670	2,632,217	2,749,373	2,859,301
37-48 Month Buyers	1,906,055	1,966,055	1,767,923	1,823,108	1,883,833	2,141,349	2,236,657
Newbies, 1x		1,355,775	1,898,085	1,898,085	1,898,085	1,898,085	1,898,085
Newbies, 2x		280,740	393,036	393,036	393,036	393,036	393,036
Newbies, 3x+		113,875	159,425	159,425	159,425	159,425	159,425
12 Month Buyer File		6,445,275	7,212,853	7,560,052	7,885,980	8,171,610	8,421,419
Total Demand		$1,436,686,941	$1,547,516,171	$1,632,811,551	$1,715,801,817	$1,789,270,759	$1,853,507,732
Demand per Buyer		$222.91	$214.55	$215.98	$217.58	$218.96	$220.09
New Buyers		1,750,390	2,450,546	2,450,546	2,450,546	2,450,546	2,450,546
Existing Buyers		4,694,885	4,762,307	5,109,506	5,435,434	5,721,064	5,970,873
Demand Growth (Year-Over-Year)			7.7%	5.5%	5.1%	4.3%	3.6%
Buyer Growth (Year-Over-Year)			11.9%	4.8%	4.3%	3.6%	3.1%
Rebuy Rate Adjustment			1.000	1.000	1.000	1.000	1.000
Newbie Adjustment			1.400	1.400	1.400	1.400	1.400
Spend Adjustment			1.000	1.000	1.000	1.000	1.000

That's a stunning (and almost impossible to pull off) increase in new+reactivated customers – and the business only grows by 7.7%.

I share this so that you can understand how terribly hard it is to grow a successful, optimized business.

In a separate analysis, I ran my "comp segment" analysis program against your direct channel. For customers with exactly two direct purchases in the past year, here is what the comp segment analysis suggested:

2x Buyers						
Month Ending	This Year	Last Year	2yrs Ago	TY / LY	LY / 2Y	TY / 2Y
22-Mar	$5.15	$5.60	$4.82	-8.0%	16.2%	6.9%
22-Apr	$7.66	$8.65	$7.75	-11.4%	11.6%	-1.1%
22-May	$8.07	$8.02	$6.65	0.7%	20.6%	21.5%
22-Jun	$7.10	$7.26	$6.58	-2.2%	10.4%	8.0%
22-Jul	$6.43	$6.46	$5.62	-0.4%	14.9%	14.4%
22-Aug	$7.92	$7.80	$6.29	1.4%	24.0%	25.7%
22-Sep	$9.34	$8.46	$7.11	10.4%	18.9%	31.3%
22-Oct	$11.87	$11.59	$11.26	2.4%	2.9%	5.4%
22-Nov	$19.85	$17.77	$15.18	11.7%	17.1%	30.8%
22-Dec	$32.65	$33.09	$31.78	-1.3%	4.1%	2.8%
22-Jan	$11.30	$11.60	$12.34	-2.6%	-6.0%	-8.5%
22-Feb	$10.10	$10.68	$10.91	-5.4%	-2.1%	-7.5%
Totals	$137.45	$136.97	$126.29	0.4%	8.5%	8.8%

In the past twelve months, your "good" customers increased spend by 0.4%, coming off of an 8.5% increase the year prior.

I categorized "new" items as item numbers that had not previously appeared in the dataset analyzed. Here is the comp segment analysis for the same buyer audience, on new items.

2x Buyers						
Month Ending	This Year	Last Year	2yrs Ago	TY / LY	LY / 2Y	TY / 2Y
22-Mar	$2.16	$2.02	$1.88	7.0%	7.5%	15.0%
22-Apr	$3.66	$3.47	$3.09	5.5%	12.2%	18.4%
22-May	$3.75	$3.22	$2.58	16.6%	24.7%	45.4%
22-Jun	$3.07	$2.75	$2.47	11.7%	11.3%	24.4%
22-Jul	$2.94	$2.74	$2.04	7.4%	34.1%	44.0%
22-Aug	$3.51	$3.35	$2.15	4.6%	55.6%	62.7%
22-Sep	$4.15	$3.57	$2.49	16.3%	43.3%	66.7%
22-Oct	$5.35	$5.12	$4.02	4.3%	27.4%	32.9%
22-Nov	$8.73	$7.43	$5.05	17.5%	47.2%	72.9%
22-Dec	$12.77	$11.95	$9.61	6.8%	24.4%	32.9%
22-Jan	$4.54	$4.21	$3.85	8.0%	9.4%	18.1%
22-Feb	$4.55	$4.57	$3.99	-0.4%	14.4%	14.0%
Totals	$59.18	$54.40	$43.23	8.8%	25.8%	36.9%

And here is the comp segment analysis for customers purchasing existing items.

2x Buyers						
Month Ending	This Year	Last Year	2yrs Ago	TY / LY	LY / 2Y	TY / 2Y
22-Mar	$2.99	$3.58	$2.94	-16.5%	21.9%	1.8%
22-Apr	$4.00	$5.17	$4.66	-22.7%	11.1%	-14.1%
22-May	$4.32	$4.79	$4.06	-9.9%	18.0%	6.3%
22-Jun	$4.03	$4.51	$4.11	-10.7%	9.8%	-1.9%
22-Jul	$3.50	$3.72	$3.58	-6.1%	3.9%	-2.4%
22-Aug	$4.41	$4.45	$4.14	-1.0%	7.5%	6.5%
22-Sep	$5.19	$4.89	$4.62	6.1%	5.8%	12.3%
22-Oct	$6.53	$6.47	$7.24	0.9%	-10.6%	-9.8%
22-Nov	$11.13	$10.34	$10.13	7.6%	2.1%	9.8%
22-Dec	$19.89	$21.14	$22.17	-5.9%	-4.7%	-10.3%
22-Jan	$6.75	$7.39	$8.49	-8.6%	-13.0%	-20.5%
22-Feb	$5.54	$6.11	$6.92	-9.2%	-11.7%	-19.8%
Totals	$78.27	$82.57	$83.06	-5.2%	-0.6%	-5.8%

The forecast tables show that growth is a challenge – and you do not have the benefit of growth via new customer acquisition (compared to most of my clients). This means

you are overly reliant upon merchandise productivity to generate growth. You are generating negative comps on existing items, and you are generating positive comps on new items. Please keep this in mind when you are merchandising your catalog (or email campaigns or landing pages) – give new items every opportunity to succeed. The success of your catalog is tied to the productivity of new items (assuming that L.L. Bean does not recycle item numbers when changing vendors or making teeny tiny changes to products).

Also of note – here is the comp segment analysis for promotions.

2x Buyers						
Month Ending	This Year	Last Year	2yrs Ago	TY / LY	LY / 2Y	TY / 2Y
22-Mar	$0.55	$0.51	$0.25	8.8%	102.7%	120.4%
22-Apr	$1.66	$2.07	$1.57	-19.8%	31.8%	5.6%
22-May	$2.55	$1.99	$1.21	28.3%	64.1%	110.5%
22-Jun	$2.08	$0.55	$0.37	279.9%	48.6%	464.4%
22-Jul	$2.10	$2.08	$0.60	0.9%	245.1%	248.3%
22-Aug	$2.28	$1.72	$0.75	32.8%	129.9%	205.3%
22-Sep	$3.50	$2.57	$0.90	36.6%	184.0%	287.9%
22-Oct	$5.11	$4.69	$4.11	9.0%	14.1%	24.4%
22-Nov	$8.20	$6.55	$5.23	25.2%	25.1%	56.7%
22-Dec	$16.53	$14.03	$16.14	17.9%	-13.1%	2.4%
22-Jan	$5.34	$5.15	$5.58	3.8%	-7.8%	-4.2%
22-Feb	$4.68	$4.93	$5.09	-5.1%	-3.1%	-8.1%
Totals	$54.60	$46.82	$41.81	16.6%	12.0%	30.6%

The analysis suggests that you are in the process of "buying your success" with promotions. Just keep that in the back of your mind – some of your merchandise productivity is not due to merchandise, but rather, is due to the promotions you offer the customer.